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Republic of Zambia

MINISTRY OF EDUCATION

DIRECTORATE OF CURRICULUM DEVELOPEMENT

PRINCIPALS OF ACCOUNTS

TEACHING MODULE
FORM 2
TERM 1 AND 2

Developed by:
Curriculum Development Centre
Lusaka

Republic of Zambia

Ministry of Education

PRINCIPLES OF ACCOUNTS

TEACHING MODULE

FORM 2

TERM 1 & 2

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PREFACE

The Principles of Accounts Teaching Module for Form 2 Term 1 and Term 2 has been developed as a continuation of the learning covered in Form 1, Terms 1, 2 and 3. It builds on the foundational knowledge and skills already acquired by learners and introduces new concepts appropriate to Form 2 under the Competence-Based Curriculum (CBC). This module is designed to support teachers in delivering lessons effectively, especially during the transition to the revised curriculum. It also helps to address the gap created by the limited availability of approved textbooks by providing structured content, practical activities and suitable assessment tasks.

The Ministry recognises the challenges that teachers may face when implementing a new curriculum. This module reflects a strong commitment to supporting teachers through clear guidance, organised lesson suggestions and assessments that are aligned with the objectives of the CBC. At the same time, teachers are encouraged to use their professional judgement, carry out further research and apply innovative teaching strategies to meet the diverse needs of their learners.

The activities and assessment tasks included in this module are designed to promote practical application, critical thinking and problem-solving skills. They also aim to ensure that learning remains relevant to real-life situations and adaptable to different school environments. Teachers are encouraged to adjust the suggested activities to suit their classroom contexts and to use other appropriate methods that enhance learner understanding.

It is our hope that this module will serve as a reliable and practical resource for teachers as they implement the Competence-Based Curriculum in Form 2 Terms 1 and 2, strengthening their ability to develop learners' knowledge, skills, values and positive attitudes towards accounting.

Kelvin Mambwe (PhD).
Permanent Secretary- Educational Services
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ACKNOWLEDGEMENT

The Principles of Accounts Teaching Module for Form 2 Term 1 and 2 has been developed through a consultative and participatory process. Teachers from secondary schools and lecturers from universities and colleges of education were actively involved in its preparation to ensure that the content is relevant, practical and aligned with the Competence-Based Curriculum. Their professional expertise and classroom experience have greatly contributed to the quality and suitability of this module for Form 2 learners. We therefore express our sincere gratitude to all who provided valuable technical input towards the successful development of this teaching module.

Finally, we commend and appreciate the dedication, teamwork and hard work of the staff at the Curriculum Development Centre for coordinating and guiding the entire development process to its successful completion.

Charles Ndakala, (Dr.)
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MINISTRY OF EDUCATION

INTRODUCTION

The Principles of Accounts Teaching Module for Form 2 Term 1 and Term 2 contains content that has been carefully organised and sequenced to build on the knowledge and skills acquired in Form 1. The topics are arranged in a logical order to ensure smooth progression and deeper understanding of accounting concepts at this level.

The suggested learning activities are designed to promote both cognitive and practical skills among learners. You are therefore encouraged to ensure that learners actively participate in all the activities outlined in the module so that they can successfully develop and demonstrate the required competences.

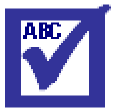
- This module provides:
  Proposals for learner-centred teaching methodologies. However, you are free to apply other suitable learner-centred approaches that best fit your local environment and available resources.
- Examples of how learning activities can be conducted in line with the Competence-Based Curriculum.
- Content tips to guide and strengthen your subject knowledge when facilitating learning activities.
- Sample class exercises and homework assignments that are appropriate for the Competence-Based Curriculum.

Note: The Principles of Accounts Teaching Module for Form 2 Term 1 and 2 should be used after learners have adequately covered the relevant content from Form 1. Sufficient time should be allocated to each learning activity for a particular topic to ensure that learners fully understand the concepts and acquire the competences outlined in the syllabus.

ICONS USED IN THE MODULE

Learning Activity

Assessment



Key Terms

Note

Content Tips

Summary

2.1 TOPIC: BOOKS OF PRIME ENTRY

Introduction

Books of Prime Entry are Books of Accounts used for recording different types of Business Transactions from the various source documents.

Term 1 of Form 2, focuses on the remaining Books of Prime Entry which are the Cash Book, i.e., One Column Cash Book (cash transactions only), Two Column Cash Book (cash and bank transactions), Three Column Cash Book (cash, bank, and discounts), and the Petty Cash Book for recording small daily expenses.

Books of Prime Entry help businesses keep accurate and organised records of money received and paid. This makes it easier to track cash, prepare financial reports, and make business decisions. In real life, small businesses use cash books to monitor daily income and expenses so they can manage their money properly.

GENERAL COMPETENCES

- Analytical Thinking
- Communication
- Critical Thinking
- Entrepreneurship
- Financial Education
- Problem Solving
- Digital Literacy

SUGGESTED TEACHING AND LEARNING MATERIALS

- Accounting textbooks – Provides explanations, examples, and exercises on how to record cash transactions.
- Teacher's guide / syllabus – Helps the teacher plan lessons and follow the required learning outcomes.
- Source documents – Documents such as receipts, invoices, vouchers, and deposit slips used as evidence of transactions to be recorded.
- Cash Book worksheets or templates – Printed formats that allow learners to practice recording cash receipts and payments.
- Chalkboard or whiteboard – Used by the teacher to demonstrate the Cash Book format and entries during the lesson.
- Calculators – Help learners calculate totals and balances accurately.
- Projector – Used to display examples, slides, or digital accounting demonstrations.

- ❑ Exercise books and pens – Used by learners to record notes and practice exercises.
- ❑ Simulation materials for business activities – Items used in classroom role-plays to help learners practice recording real-life transactions.

2.1.1 Sub-Topic: Types of Books of Prime Entry - Single Column Cash Book

Introduction

The Single-Column Cash Book is a Book of Prime Entry and a Ledger Account that records all cash receipts and payments of a business.

In this sub-topic, learners will study the format of the Single Column Cash Book, how to record transactions, balance it off, post to the ledger and extract the Trial Balance.

A Single Column Cash Book helps learners understand how businesses record their daily cash transactions, track money received and paid out, which is a basic skill for managing personal and business finances.

Specific Competences

- ❑ Record Business Transactions in the Books of Prime Entry – Single Column Cash Book.
- ❑ Post Business Transactions to the Ledger – Single Column Cash Book.

KEY TERMS

- ❑ **Debit –** The left-hand side of an account, used in a cash book to record cash receipts.
- ❑ **Credit –** The right-hand side of an account, used in a cash book to record cash payments.
- ❑ **Receipts –** Money received by a business.
- ❑ **Cash Book** – A special journal used to record all cash receipts and cash payments of a business.

LEARNING ACTIVITY 1

- ❑ Identifying Books of Prime Entry – Single Column Cash Book
- ❑ Explaining Books of Prime Entry – Single Column Cash Book
- ❑ Stating the source documents for each book of prime entry – Single Column Cash Book
- ❑ Recording Business Transactions in the Books of Prime Entry – Single Column Cash Book
- ❑ Posting Business Transactions from the Books of Prime Entry (Single Column Cash Book) to the ledger

- ❑ Extracting the Trial Balance from the ledger - Single Column Cash Book

Note: The under listed learning activities are interrelated and may be taught using the same methodology.

LEARNING ACTIVITY 2

1. **Identifying Books of Prime Entry – Single Column Cash Book**
2. **Explaining Books of Prime Entry – Single Column Cash Book**

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Discussion – Group Discussion

Learning Environment: Classroom

Teacher's Role:

Hook:

Think about the money you receive during the week. You may receive pocket money, but you also spend money on food, transport, or school supplies. If someone asked you to explain how you used your money, would you remember every transaction? Businesses face the same challenge. They use a Single Column Cash Book to record all cash coming in and going out."

Question: How can a business keep accurate records of cash received and paid?

Transition into the lesson:

After the hook, you can smoothly transition learners into the lesson like this:

Since businesses receive cash and also make payments every day, it is important to keep a clear record of all the money coming in and going out. Without proper records, a business may not know how much cash it has or how the money was used. To solve this problem, businesses use a special book called the Single Column Cash Book.

Today, we are going to learn what a Single Column Cash Book is, its format, and how to record cash receipts and cash payments correctly."

You may then write the lesson topic on the board:

Topic: Single Column Cash Book.

- ❑ Divide learners in groups
- ❑ Present them with the scenario below together with reference materials:

- Mary sells second-hand clothes at the market and does not use a bank account. She receives money from customers and pays business expenses daily, then keeps the remaining money at home.

- ❑ Ask Learners to discuss in groups:
  - Which book of prime entry would be appropriate for her business?
  - Explain the identified Book of Prime Entry.
- ❑ Allow learners to make comments
- ❑ Take note of the learners' presentations and comments.
- ❑ Clear any misconceptions after the group presentations.
- ❑ Give individualised class exercise.
- ❑ Mark the books in class.

Let Learners:

- ❑ Discuss the questions in groups, using provided reference materials.
- ❑ Make presentations from their discussions.
- ❑ Copy and answer the class exercise and submit books for marking.

CONTENT TIPS

A single column cash book is a Book of Prime Entry and a ledger account that records all cash receipts and payments of a business. It has two sides: the debit side for cash received and the credit side for cash paid out.

A single column cash book is simply a record of money received and money paid. It is also known as a cash account.

This type of account cannot have a credit balance because a person or business cannot pay out more money than they have. This means it will always show a debit balance or a zero balance.

Items found in a Single Column Cash Book (Cash Account):

- **Date Column:** The date on which the transaction occurred.
- **Details Column:** A brief description of the name of the other account involved in the cash transaction.
- **Folio (Folio – F):** A reference column to indicate the page number of the ledger account to which the entry is posted.

- **Debit Column:** Shows money received by the business in the cash account
- **Credit Column:** Shows money paid out by the business in the cash account

Uses of a Single Column Cash Book

The single column cash book is used for the following purposes:

- To record all cash transactions (both receipts and payments) in chronological order.
- To show the cash balance (cash at hand) of the business at any given time.
- To help detect errors or fraud related to cash transactions.
- To provide necessary information for preparing other financial statements, such as the Trial Balance and Statement of Profit or Loss (Income Statement).

Balancing: The total of the receipt (debit side) column will always be greater than the total of the payment column (credit side). The difference will be written on the credit side as "balance carried down (c/d)". At the beginning of the next period, the cash balance in hand is written on the debit side as balance brought (b/d) down to show the amount of cash available.

There are various ways of laying out a Ledger Account, i.e., vertical and horizontal (T format) formats. However, for the purposes of our syllabus, the vertical format will be used, as shown below:

Single Column Cash Book (Cash Account)

Date	Details	F	Dr		Cr	
			K	N	K	N

LEARNING ACTIVITY 3

Stating the Source Documents for each Book of Prime Entry - Single Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Individual work

Learning Environment: Classroom

Teacher's Role:

- Present the following scenario to the learners with reference materials:
    - Peter runs a small grocery shop in Kabombo. During the day, he receives money from customers for goods sold. He also pays for transport when bringing goods to stock in his shop. At the end of the day, he prepares a Single Column Cash Book to record these transactions.
- Ask learner to:
    - Identify the appropriate source documents he would use when recording the transactions in the Single Column Cash Book.
- Interact with individual learners as they are answering the question using reference materials.
- Clear any misconceptions arising from interactions with individual learners.
- Give individualised class exercise.
- Mark the books in class.

Let learners:

- Answer the scenario question above.
- Write down their findings in their exercise books.
- class exercise and submit books for marking

CONTENT TIPS

Source documents for the One Column are original records that provide evidence of cash transactions. They are used to record transactions in the single column cash book, which records only cash receipts and cash payments.

Examples of source documents for the single column cash book:

- **Receipt** – proof that cash has been received or paid.
- **Cash register slip** – evidence of cash sales.
- **Payment voucher** – authorization and proof of cash payments.
- **Tax Invoice** – details of goods bought or sold for cash.
- **Petty cash voucher** – proof of small cash payments.

Source documents help ensure accuracy, accountability, and proper record keeping of cash transactions.

LEARNING ACTIVITY 4

Recording Business Transactions in the Books of Prime Entry – Single-Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- Write a few cash transactions on the board as shown below.

  Chimwemwe has recently completed school and decided to start a small business called Chimwemwe Traders in his community. The business mainly sells household goods and stationery to local customers. Chimwemwe wants to keep proper financial records so that he can monitor the money coming into and going out of the business.

  The following transactions took place:

  2026

  Mar 1: Started business with cash K12,000.00

  Mar 2: Bought goods for cash K2,500.00

  Mar 3: Cash sales K3,200.00

  Mar 3: Bought goods by cash 500.00

  Mar 4: Paid cash for transport K400.00

  Mar 5: Bought stationery for cash K300.00

  Mar 6: sold goods by cash K 1,100.00

  Mar 7: Paid cash for wages K1,200.00

- Pick the first 4 transactions **ONLY** and demonstrate on how to record them in the Single Column Cash Book.

Chimwemwe Single Column Cash Book (Cash Account)

Date	Details	F	Dr		Cr	
2026			K	N	K	N
1 March	Capital		12,000	00		
2 March	Purchases				2,500	00
3 March	Sales		3,200	00		
3 March	Purchases				500	00
4 March	Transport				400	00
5 March	Stationery				300	00
6 March	Sales		1,100	00		
7 March	Wages				1,200	00
7 March	Balance	c/d			11,400	00
			16,300	**00**	**16,300**	**00**
8 March	Balance	b/d	11,400	00		

- Let learners work in pairs to record the remaining transactions in the Single Column Cash Book and balance it off.
- Interact with learners in their respective pairs to monitor and facilitate where necessary as they record transactions
- Mark the exercise and clear any misconceptions.
- Give individualised homework.

Let learners:

- Work in pairs and prepare the Single Column Cash Book.
- Copy the individualised homework and answer in their spare time.

CONTENT TIPS

The One Column Cash Book records cash received and cash paid.

- The debit side is for money received.
- The credit side is for money paid.
- Always check the source document before recording (receipt, voucher, till slip).
- Each entry must show the date, details, folio and amount involved.
- Record the transaction on the correct side.
- Balance the cash book at the end of the period.
- The cash book should always have a debit or nil balance.

LEARNING ACTIVITY 5

Posting Business Transactions from Book of Prime Entry to the Ledger – One Column Cash Book.

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ Refer the learners to the exercise under **learning activity 4**.

  For example:

  From the exercise under learning activity 4, demonstrate by posting the first 3 transactions you entered in the single column cash book to the ledger.

SOLUTIONS

Private Ledger

Capital Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 March	Cash				**12, 000**	**00**
7 March	Balance	c/d	12,000	00		
			12,000	**00**	**12,000**	**00**
8 March	Balance	b/d			12,000	00

General (Nominal) Ledger

Purchases Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
2 March	Cash		2,500	00		
3 March	Cash		500	00		
7 March	Balance	c/d			3,000	00
			3,000	**00**	**3,000**	**00**
8 March	Balance	b/d	3,000	00		

Sales Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
3 March	Cash				3,200	00
6 March	Cash				1,100	00
7 March	Balance	c/d	4,300	00		
			4,300	**00**	**4,300**	**00**
8 March	Balance	b/d			4,300	00

Transport Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
4 March	Cash		400	00		
7 March	Balance	c/d			400	00
			400	**00**	**400**	**00**
8 March	Balance	b/d	400	00		

Stationery Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
4 March	Cash		300	00		
7 March	Balance	c/d			300	00
			300	**00**	**300**	**00**
8 March	Balance	b/d	300	00		

Wages Account

Date	Details	F	Debit		Credit	
2026			K	N	K	N
4 March	Cash		1,200	00		
7 March	Balance	c/d			1,200	00
			1,200	**00**	**1,200**	**00**
8 March	Balance	b/d	1,200	00		

- Allow learners working in pairs to post the remaining transactions to the Ledger.
- Interact with learners in their respective pairs to monitor and facilitate where necessary as they post transactions to the ledger.
- Mark the exercise and clear any misconceptions.
- Give individualised homework.

Let learners:

- ❑ Work in pairs and prepare the Ledger Accounts for the remaining transactions and balance them off from the example given.
- ❑ Present their work done in pairs
- ❑ Copy homework and continue hands on during their free time..

CONTENT TIPS

- ❍ Posting is transferring entries from books of prime entry to the ledger, in this case from the Single Column Cash Book to the Individual ledger accounts, by:
  - o Debiting all monetary values received.
  - o Crediting all monetary values paid out.
- ❍ When posting to the ledger, entries are posted to the opposite side to complete the double entry system.

LEARNING ACTIVITY 5

Extracting the Trial Balance from the Ledger – One Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

From the ledger accounts in learning Activity 5 above,

- ❑ Working in pairs, allow learners to extract the Trial Balance as at 7th March, 2026.

Chimwemwe Trial Balance as at 7th March 2026

Details	Debit		Credit	
	K	N	K	N
Cash	11,400	00		
Capital			12,000	00
Purchases	3,000	00		
Sales			4,300	00
Transport	400	00		
Stationery	300			
Wages	1,200	00		
	16,300	**00**	**16,300**	**00**

- ❑ Interact with learners in their respective pairs to monitor and facilitate where necessary as they extract the trial balance.
- ❑ Mark the exercise and clear any misconceptions.
- ❑ Give individualised homework.

Let learners:

- ❑ Continue working in Pairs and extract the Trial Balance
- ❑ Make presentations
- ❑ Copy individualised homework and answer it in their spare time.

CONTENT TIPS

A Trial Balance is a list of balances taken from the ledger accounts, including the Cash Book balance, at a particular date.

Purpose of Extracting a Trial Balance

A Trial Balance is prepared in order to:

- ❍ Check the arithmetical accuracy of entries made in the One Column Cash Book and posted to the ledger.
- ❍ Confirm that double entry has been carried out correctly from the One Column Cash Book to the ledger accounts.
- ❍ Provide a basis for preparing the Financial Statements.

Important Points

- ❍ The balance of the One Column Cash Book (cash balance) is included in the Trial Balance.
- ❍ The Trial Balance should balance automatically, meaning the total debit column must equal the total credit column.
- ❍ It must have a correct title, for example: ***Trial Balance as at 31 December 20…***
  Below is a layout of the Trial Balance

TITLE

Details	Debit		Credit	
	K	N	K	N

- Title – for writing heading of the Trial Balance.
- Details Column – for entering particulars of an account from the ledger.
- Debit Column – for entering the monetary value of the total balance brought down from the debit side of the ledger account.
- Credit Column- for entering the monetary value of the total balance brought down from the credit side of the ledger account.

Expected Standard

- Business Transactions recorded in the Books of Prime Entry correctly – Single Column Cash Book
- Business Transactions posted to the Ledger correctly – Single Column Cash Book

ASSESSMENTS

- Assess whether learners are able to identify correct transactions to be recorded in the Single Column Cash Book.
- Assess learners' ability to explain the importance of the Single Column Cash Book.
- Assess whether learners are able to identify correct source document for the Single Column Cash Book.
- Assess learner's ability to correctly prepare the Single Column Cash Book and post to the Ledger and extract a Trial Balance correctly.

PROPOSED TASKS

LEARNING ACTIVITIES

1. ***Identifying Books of Prime Entry – Single Column Cash Book***
2. ***Explaining Books of Prime Entry – Single Column Cash Book***

Task

As a newly employed Accounting Officer at Manga Enterprises Limited, you have been presented with a list of transactions as shown below:

(a) Purchases made for immediate payment.

(b) Motor vehicle sold for cash.

(c) Goods returned to us by credit customers.

(d) Money transferred from bank to the cash till.

(e) Laptop accepted as part payment from customer.

(f) Cash received in respect of rent received.

Required:

i. Identify transactions to be recorded in a Single Column Cash Book.

ii. Explain the One Column Cash Book.

ACTIVITY 3

Stating the Source Documents for each Book of Prime Entry- Single Column Cash Book

Task

A community member owns a shop in Shibuyunji. During the school holiday, a Form 2 learner helps the owner organise the business records. While reviewing the records, the learner notices that several cash transactions were made but the owner did not keep proper documents to show where the information came from. The learner remembers that every transaction recorded in a Single Column Cash Book must be supported by a source document so that the records are accurate and trustworthy.

For example, the shop made cash sales to customers amounting to K850.00, but the owner did not keep the document that proves the transaction took place. The learner must identify the correct source document that should support this transaction.

LEARNING ACTIVITIES

4. ***Recording Business Transactions in the Books of Prime Entry – Single-Column Cash Book***
5. ***Posting Business Transactions from Book of Prime Entry (One Column Cash Book) to the Ledger***
6. ***Extracting the Trial Balance from the Ledger – One Column Cash Book***

Task

An Intern Accountant was presented with the following set of transactions but could not beat the deadline as set by a supervisor and has now approached you for assistance to promptly prepare the Single Column Cash Book, balance if off and post to the ledger at the end of May 2026.

The following were the opening balances: Capital K25,250.00. Cash in Hand K18,000.00, Debtors: Sitibekiso K5,000.00, Mwape K6,000.00 and Creditors: Aron K3,750.00.

2026

2: Paid to petty cashier K 2,500.00

2: Cash sales K1,750.00

3: Paid Aaron by Cash K3,750.00

3: Received a Cash from Sitibekiso K4,500.00.

5: Received Cash from Mwape K6,000.00

8: Cash purchases K2,500.00

8: Paid Rent by Cash K2,500.00

9: Cash withdrawn from the cash till for personal use K2,500.00

10: Cash sales K3,750.00

14: Stationery purchased by cash K1,000.00

20: Cash sales K6,750.00

23: Withdrew cash for personal use K1,000.00

25: Salaries paid by Cash K9,000.00

Required

i. Prepare a Single Column Cash Book.
ii. Post the transactions from the Single Column Cash Book to the Ledger accounts.
iii. Extract a Trial Balance from the ledger at the end of the week.

SUMMARY

Ensure learners are able to:

- ❑ Identify a Single Column Cash Book
- ❑ Explain a Single Column Cash Book
- ❑ State the source documents for the Single Column Cash Book
- ❑ Record Business Transactions in a Single Column Cash Book
- ❑ Post Business Transactions from the Single Column Cash Book to the Ledger
- ❑ Extract the Trial Balance for the Single Column Cash Book

2.1.1 Sub – Topic: Types of Books of Prime Entry – Two Column Cash Book

Introduction

The Two Column Cash Book is a book of prime entry which contains the cash and bank columns.

In this sub-topic learners will study the format, record cash and bank transactions, account for contra-entry transactions, balance the cash book, post entries to the ledger, and extract a Trial Balance.

It will help learners understand how businesses manage both cash and bank transactions and develops skills in keeping accurate records, checking the correctness of accounts, which are important in real business situations and everyday financial management.

Specific Competences

- ❑ Record Business Transactions in the Books of Prime Entry – Two Column Cash Book
- ❑ Post Business Transactions to the Ledger – Two Column Cash Book

KEY TERMS

- **Contra Entry** – An entry where both sides of the transaction are recorded in the same book of prime entry, involving transfers between cash and bank.
- **Drawings** – Money or goods taken from the business by the owner for personal use**.**
- **Bank Overdraft –** A facility that allows a customer to withdraw more than their bank balance up to an agreed limit; treated as a liability in accounting.
- **Bank Account** – A record showing deposits, withdrawals, and the balance of a customer's money.

LEARNING ACTIVITIES

- Identifying Books of Prime Entry – Two Column Cash Book
- Explaining Books of Prime Entry – Two Column Cash Book
- Stating the source documents for each book of prime entry – Two Column Cash Book
- Recording Business Transactions in the Books of Prime Entry – Two Column Cash Book
- Posting Business Transactions from the Books of Prime Entry (Two Column Cash Book) to the ledger
- Extracting the Trial Balance from the ledger - Two Column Cash Book

SUGGESTED TEACHING MATERIALS FOR THE TWO COLUMN CASH BOOK

- Sample Two Column Cash Book – helps learners see the format and how Two Column Cash Book entries are written.
- Source documents (invoices, proof of payments and receipts) – provide the information used to record transactions in the Two Column Cash Book.
- Textbooks or accounting notes – give explanations and examples of Two Column Cash book.
- Calculators – help learners check and calculate amounts correctly.
- Stationery (pens, paper and notebooks) – used by learners to practise writing Two Column Cash Book exercises.
- Charts or posters – show the format and rules for recording in the Two Column Cash Book.
- Case studies or real-life scenarios – help learners understand how businesses record transactions.
- Computers or spreadsheets (optional) – show that Two Column Cash Book entries can also be prepared electronically.

- ❑ Projector or whiteboard – used by the teacher to demonstrate how entries are recorded step by step.

Note: The list is not exhaustive Teacher can use these or any other materials found in his area.

Note: The under listed learning activities are interrelated and may be taught using the same methodology.

LEARNING ACTIVITIES

1. **Identifying Books of Prime Entry – Two Column Cash Book**
2. **Explaining Books of Prime Entry – Two Column Cash Book**

Hook:

"Imagine you have a small shop in Lavushimanda. Every day, some customers pay you in cash, while others pay using the bank. How do you keep track of both without getting confused? That's where the Two Column Cash Book comes in—it helps you record cash and bank money side by side in one book."

Methodology

Suggested Methodology (Discussion, Inquiry and Research)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ Pair the learners in class
- ❑ Give them the following scenario

  Bright Traders, a small business in Mana, Zambia wants to keep track of all cash and bank transactions. He does not want to keep a number of books of account for his transactions.

  He is informed that there are several books of prime entry, among them are Single Column Cash Book, Sales Day Book, Two Column Cash Book, Petty Cash Book and Purchases Journal.

- ❑ Let them answer the questions
  - o Which of the given Books of Prime Entry would be ideal to Bright Traders?
  - o Explain why you would recommend it to him.
- ❑ Go round checking, marking and facilitating learners' work

- ❑ Give individualised class exercise

Let learners:

- ❑ Work in pairs to answer the given task
- ❑ Present the work done in pairs
- ❑ Copy class exercise

CONTENT TIPS

Identifying a Two Column Cash Book

- ❍ Two amount columns on each side of the cash book.
- ❍ The columns represent Cash and Bank.
- ❍ It records transactions involving cash received/paid and bank deposits/withdrawals.
- ❍ It has a debit side (receipts) and a credit side (payments).
- ❍ May include contra entries when money moves between cash and bank.

Explaining a Two Column Cash Book

- ❍ A Two Column Cash Book is a book of prime entry used to record cash and bank transactions.
- ❍ The debit side records money received (cash received or money deposited in the bank).
- ❍ The credit side records money paid out (cash payments or money withdrawn from the bank).
- ❍ It helps businesses track cash and bank balances easily.
- ❍ It also acts as both a cash account and a bank account in the ledger.

LEARNING ACTIVITY 3

Stating the source documents for each book of prime entry – Two Column Cash Book

Methodology

Suggested Methodology (Discussion, Inquiry and Research)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in groups

Learning Environment: Classroom

Teacher's Role:

- ❑ Put learners in groups
- ❑ Give them the scenario below

  Lukundo Tuckshop in Zambezi keeps a Two Column Cash Book for their Business. The shop made the following Transactions:

  - o Bought 10 cases of soft drinks at K3,560.50 by cash
  - o Sold 10 hard cover exercise books by cash K1,500.00
  - o Bought 20 boxes of red pens by bank transfer of K6,000.00
  - o A customer paid her bill of K770.47 for items bought by phone.
- ❑ State the document used to support each of the transactions above?
- ❑ Allow the groups to discuss the given documents
- ❑ Go round checking what learners are discussing
- ❑ Allow learners to make presentations
- ❑ Clear any misconceptions
- ❑ Give individualised class exercise and mark books in class.

Let learners:

- ❑ Work in groups.
- ❑ Discuss the various documents provided.
- ❑ Make their presentations.
- ❑ Copy and answer the class exercise and submit books for marking.

CONTENT TIPS

When you state the source document for a Two Column Cash Book, the key is to show where the transaction information came from**.** In accounting, every entry in the cash book must be supported by a source document (proof of the transaction). Below are some of the applicable source documents others were already covered:

- ❍ Proof of payment – when paying through the bank
- ❍ Bank deposit slip – when depositing money

LEARNING ACTIVITY 4

Recording Business Transactions in the Books of Prime Entry – Two Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ Let learners work in pairs.
- ❑ Write 7 transactions for the Two Column Cash Book on the board as shown below:

Susu is a sole trader who buys and sells goods both for cash and bank. They have not been keeping proper records of their Books due to lack of knowledge. As a qualified Accountant, you have been asked to prepare the Two Column Cash Book, for the month of February 2026, from the transactions below:

2026

February 1	Started business with cash in hand K2,500.00 and at bank K38,100.00
February 2	Paid Rent by cash K1,000.00
February 3	Bought goods by Bank Transfer K6,700.00
February 7	Cash Sales K3,600.00
February 10	Withdrew K4,000.00 for private purposes
February 15	Cash sales paid directly into the bank K4,000.00
February 20	Deposited cash into Bank K4,000.00

Susu Two Column Cash Book

Date	Details	F	Cash Account				Bank account			
			Dr		Cr		Dr		Cr	
2026			K	N	K	N	K	N	K	N
Feb-01	Capital		2,500	00			38,100	00		
Feb-02	Rent				1,000	00				
Feb-03	Purchases								6,700	00
Feb-07	Sales		3,600	00						
Feb-10	Drawings								4,000	00
Feb-15	Sales						4,000	00		
Feb-20	Bank/Cash	C			4,000	00	4,000	00		
Feb-30	Balance	c/d			1,100	00			35,400	00
			6,100	**00**	**6,100**	**00**	**46,100**	**00**	**46,100**	**00**
Mar-01	Balance	b/d	1,100	00			35,400	00		

- ❑ Pick the first 3 transactions and demonstrate on how to record them in the Two Column Cash Book.
- ❑ Allow learners working in pairs to record the remaining transaction in the Two Column Cash Book
- ❑ Mark the exercise and correct each pairs' work, to clear any misconceptions.
- ❑ Give individualised class exercise and homework; mark class exercise in class and allow learners answer homework in their spare time.

Let learners:

- ❑ Work in pairs and complete the Two Column Cash Book.
- ❑ Copy class exercise and homework; and submit class exercise for marking in class and answer homework in their spare time.

CONTENT TIPS

A Two Column Cash Book is used to record all cash and bank transactions of a business. It has two amount columns on each side: one for Cash and one for Bank.

All money received is recorded on the debit (left) side.

- ❍ If cash is received, enter the amount in the cash column.
- ❍ If money is received through the bank, enter the amount in the bank column.

All money paid out is recorded on the credit (right) side.

- ❍ If payment is made in cash, enter the amount in the cash column.
- ❍ If payment is made through the bank, enter the amount in the bank column.

Contra-Entry: When money is transferred between cash and bank (for example, depositing cash into the bank or withdrawing cash from the bank), record the transaction on both sides of the cash book. This is called a contra entry. A contra entry only moves money within the business (between cash and bank).

Drawings: Drawings are different from a contra entry. Drawings happen when the owner takes cash or money from the bank for personal use. Drawings reduce business funds and are recorded on the credit side in the cash or bank column, depending on where the money is taken from.

Bank Overdraft: If the bank account has more payments than receipts, it may result in a bank overdraft. A bank overdraft is recorded as a credit balance in the bank column of the cash book. This shows that the business owes money to the bank.

Learners should carefully read each transaction and decide whether it affects cash or bank before posting it in the correct column and on the correct side.

The following is the layout of the Two Column Cash Book

TITLE

Date	Details	F	Cash Account				Bank Account			
			Debit		Credit		Debit		Credit	
			K	N	K	N	K	N	K	N

- The **Title** of the book of prime entry is written on top of template.
- Date Column – for entering the date when the transaction took place.
- Details Column – for entering the transaction that took place.
- Folio Column (F) – for cross referencing of the source document number.
- Cash Column – for recording money received (Dr) or paid out (Cr) by cash.
- Bank Column – for recording money received (Dr) or paid out (Cr) through the bank.

Note: when drawing the columns, the Details column must be the widest.

LEARNING ACTIVITY 5

Posting Business Transactions from the Books of Prime Entry (Two Column Cash Book) to the ledger

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial, and Technological)

For illustrations purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- Write 9 transactions on the board as shown below:

  T & P Retailers, had a challenge to establish the total cash with them and at the Bank, and how to prepare a Two Column Cash Book. T & P Retailers had an opening capital of K62,500.00, they have engaged you as an Accounts Intern to help them calculate the cash in hand and at bank by preparing a Two Column Cash Book for the month of December 2025, from the transactions below:

Dec 1	Cash balance brought forward K74,700.00 and Bank overdraft of K12,200.00
Dec 2	Received from Sales K18,500.00 through the bank
Dec 5	Paid rent through the bank K4,400.00
Dec 8	General Expenses paid by bank transfer K3,200.00

Dec 10 Bought a Motor van by cash K15,000.00

Dec 11 Paid by bank transfer for Electricity K9,500.00

Dec 18 Transferred K50,000.00 to bank.

Dec 21 withdrew K1,600.00 from the bank for personal use.

Dec 28 Paid Shop Assistants Wages K4,000.00 cash

SOLUTION

ST & P Retailers' Two Column Cash Book

Date	Details	F	Cash Account				Bank Account			
			Dr		Cr		Dr		Cr	
2025	S		K	N	K	N	K	N	K	N
Dec-01	Balance		74,700	00					12,200	00
Dec-02	Sales						18,500	00		
Dec-05	Rent								4,400	00
Dec-08	General Expenses								3,200	00
Dec-10	Motor Van				15,000	00				
Dec-11	Electricity								9,500	00
Dec-18	Bank/Cash	C			50,000	00	50,000	00		
Dec-21	Sales						15,600	00		
Dec-28	Wages				4,000	00				
Dec-31	Balance	c/d			5,700	00			54,800	00
			74,700	**00**	**74,700**	**00**	**84,100**	**00**	**84,100**	**00**
Jan-01	Balance	b/d	5,700	00			54,800	00		

- ❑ Pick at least 4 transactions and demonstrate on how to record them in the Ledger.
- ❑ Allow learners working in pairs to record the remaining transactions in the Ledger.
- ❑ Mark the learner's work done in pairs and clear any misconceptions.
- ❑ Give individualised class exercise and homework.

Let learners:

- ❑ Work in pairs and prepare the Ledger from the example given.
- ❑ Present their work done in pairs
- ❑ Copy exercise and homework and continue hands on during free time at school and home.

T & P Retailers Private Ledger

Capital Account

Date	Details	F	Dr K	Dr N	Cr K	Cr N
2025						
Dec-01	Balance	b/f			62,500	00
Dec-31	Balance	c/d	62,500	00		
2026			62,500	00	62,500	00
Jan-01	Balance	b/d			62500	00

T & P Retailers General (Nominal) Ledger

Sales Account

Date	Details	F	Dr K	Dr N	Cr K	Cr N
2025						
Dec-02	Bank				18500	00
Dec-21	Bank				15600	00
Dec-31	Balance	c/d	34,100	00		
2026			**34,100**	**00**	**34100**	**00**
Jan-01	Balance	b/d			34100	00

Rent Account

Date	Details	F	Dr K	Dr N	Cr K	Cr N
2025						
Dec-05	Bank		4,400	00		
Dec-31	Balance	c/d			4,400	00
2026			4,400	00	4,400	00
Jan-01	Balance	b/d	4,400	00		

General Expenses Account

Date	Details	F	Dr K	Dr N	Cr K	Cr N
2025						
Dec-08	Bank		3,200	00		
Dec-31	Balance	c/d			3,200	00
2026			3,200	00	3,200	00
Jan-01	Balance	b/d	3,200	00		

Motor Van Account

Date	Details	F	Dr		Cr	
			K	N	K	N
2025						
Dec-10	Cash		15,000	00		
Dec-31	Balance	c/d			15,000	00
2026			15,000	00	15,000	00
Jan-01	Balance	b/d	15,000	00		

Electricity Account

Date	Details	F	Dr		Cr	
			K	N	K	N
2025						
Dec-11	Bank		9,500	00		
Dec-31	Balance	c/d			9,500	00
2026			**9,500**	**00**	**9,500**	**00**
Jan-01	Balance	b/d	9,500	00		

Wages Account

Date	Details	F	Dr		Cr	
			K			K
2025						
Dec-28	Cash		4,000	00		
Dec-31	Balance	c/d			4,000	00
2026			4,000	00	4,000	00
Jan-01	Balance	b/d	4,000	00		

CONTENT TIPS

After recording transactions in the cash book, the next step is to post them to the ledger accounts. The cash book itself serves as the Cash Account and Bank Account in the ledger, so these two accounts are not opened again in the ledger.

Posting from the Debit Side of the Cash Book

All entries on the debit (left) side of the cash book represent money received. When posting:

- Post each entry to the credit side of the respective ledger account.

- Write “Cash” or “Bank” in the details column of that ledger account.
- Use the same amount as recorded in the cash book.

Posting from the Credit Side of the Cash Book

All entries on the credit (right) side represent money paid out. When posting:

- Post each entry to the debit side of the respective ledger account.
- Write “Cash” or “Bank” in the details column of that ledger account.
- Use the same amount as recorded in the cash book.

Posting Contra Entries: Contra entries (cash deposited into bank or cash withdrawn from bank) are not posted to other ledger accounts, because double entry is completed in the cash book.

Posting Drawings: If the owner withdraws cash or money from the bank for personal use:

- Post the amount to the debit side of the Drawings Account in the ledger.
- The entry in the cash book remains on the credit side.

Bank Overdraft: If the bank column has a credit balance (bank overdraft), it shows that the business owes money to the bank. The overdraft balance is carried down in the bank column.

Learners should remember the rule:

- Debit in the cash book → Credit in the ledger.
- Credit in the cash book → Debit in the ledger.

LEARNING ACTIVITY 6

Extracting the Trial Balance from the Ledger – Two Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher’s Role:

From the Ledger Accounts under the **Learning Activity 5 Above**:

- Allow learners to work in pairs, to extract the Trial Balance.
- Mark the learners’ submissions and clear any misconceptions

T & P RETAILERS'

Trial Balance as at 31st December, 2025

Details	Dr		Cr	
	K	**N**	**K**	**N**
Cash	5,700	00		
Bank	54,800	00		
Capital			62,500	00
Sales			34,100	00
Rent	4,400	00		
General Expenses	3,200	00		
Motor Van	15,000	00		
Electricity	9,500	00		
Wages	4,000	00		
	96,600	**00**	**96,600**	**00**

Let learners:

- Work in pairs and finish extracting the Trial Balance
- Make necessary corrections if any
- Copy exercise and homework and continue hands on during free time at school and home

CONTENT TIPS

When extracting a Trial Balance from only the Two Column Cash Book, you use the balances that appear in the cash and bank columns after balancing the cash book.

Step 1: Balance the Cash Book

At the end of the period:

- Add both sides of the cash column and find the difference.
- Add both sides of the bank column and find the difference.

The cash column usually has a debit balance, because a business cannot pay more cash than it has. The bank column may have:

- A debit balance (money in the bank)
- A credit balance (bank overdraft)
- Nil balance

Step 2: Enter Balances in the Trial Balance

Only the balances brought down (b/d) from ledger accounts are entered in the Trial Balance.

- A cash balance is recorded on the debit side of the Trial Balance.

- A bank debit balance is recorded on the debit side of the Trial Balance.
- A bank overdraft (credit balance) is recorded on the credit side of the Trial Balance.

Expected Standard

- Business Transactions recorded in the Books of Prime Entry correctly.
- Business Transactions posted to the Ledger correctly.

ASSESSMENT

- Assess whether learners are able to identify correct transactions to be recorded in the Cash Column and Bank Column
- Assess learners' ability to explain the importance of a Two Column Cash Book
- Assess learner's ability to correctly prepare the Two Column Cash Book and post to the Ledger and extract a Trial Balance correctly

PROPOSED TASKS

LEARNING ACTIVITY

1. ***Identifying Books of Prime Entry – Two Column Cash Book***
2. ***Explaining Books of Prime Entry – Two Column Cash Book***

Task

You have just been hired as an assistant bookkeeper at Mutale's Hardware in Masaiti. He has a box full of receipts and does not know how to record them. He has asked you to identify the appropriate Book of Prime Entry and further explain to him what that book is all about.

LEARNING ACTIVITY 3

Stating the source documents for each book of prime entry – Two Column Cash Book

Task

At the end of the month, Palisa receives the Two Column Cash Book from her bookkeeper, and it has already been balanced. However, she is not sure how the information in the cash book was obtained or what documents were used to record the transactions.

Identify any two source documents that the bookkeeper could have used to record transactions in Palisa's Two Column Cash Book.

LEARNING ACTIVITY

4. Recording Business Transactions in the Books of Prime Entry – Two Column Cash Book

5. Posting Business Transactions from the Books of Prime Entry to the ledger

6. Extracting the Trial Balance from the ledger

Task

Queens Enterprises a newly formed sole trading business, seeks your accounting services for the month of August, 2025. The business started without employing an Accounts Assistant, now they need to establish cash and bank balances at the end of August, 2025. Their capital at start was K 21,150.00. You are required to:

i. Prepare the Two Column Cash Book,
ii. Post the transactions to the Ledger
iii. Extract a Trial Balance

2025

August 1	Balance of cash in hand K9,500.00 at bank K11,650.00
August 7	Paid rent by bank transfer K1,200.00
August 10	Received proof of Payment from Twaambo K3,700.00
August 15	Cash sales paid directly into the bank K4,550.00
August 22	Paid Salaries in cash K1,350.00
August 25	Deposited cash into bank K2,500.00
August 27	Bank charges deducted K90.00
August 30	Withdrew cash from bank K750.00 for business use

SUMMARY

Ensure Learners are able to:

- ❑ Identify Two Column Cash Book
- ❑ Explain Two Column Cash Book
- ❑ Stated the source documents for a Two Column Cash Book
- ❑ Record Business Transactions in the Two Column Cash Book
- ❑ Post Business Transactions from the Two Column Cash Book to the Ledger
- ❑ Extract the Trial Balance from the Ledger

2.1.1 Sub – Topic: Books of Prime Entry – Three Column Cash Book

Introduction

A Three Column Cash Book is a Book of Prime Entry used in accounting to record all cash and bank transactions with an additional column for discounts received and allowed.

In this sub-topic, learners will study its format, recording transactions, balancing, and posting to the ledger.

It helps the business know how much money it has in cash and in the bank at any time. It also helps keep financial records organised, reduces mistakes and make it easier to prepare ledger accounts and the trial balance.

Specific Competences

- Record Business Transactions in the Books of Prime Entry – Three Column Cash Book
- Post Business Transactions to the Ledger – Three Column Cash Book

KEY TERMS

- **Discount allowed:** a reduction given to a customer for early payment. It is an expense to the business.
- **Discount received:** a reduction received from the supplier for quick payment. It is an income to the business.

LEARNING ACTIVITIES

- Identifying Books of Prime Entry – Three Column Cash Book
- Explaining Books of Prime Entry – Three Column Cash Book
- Stating the Source Documents for each Book of Prime Entry – Three Column Cash Book
- Recording Business Transactions in the Books of Prime Entry – Three Column Cash Book
- Posting Business Transactions from Book of Prime Entry (Three Column Cash Book) to the Ledger
- Extracting the Trial Balance from the Ledger – Three Column Cash Book

Note: The underlisted learning activities are interrelated and can be taught using the same methodology

LEARNING ACTIVITIES

1. **Identifying Books of Prime Entry – Three Column Cash Book**
2. **Explaining Books of Prime Entry – Three Column Cash Book**

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Discussion – Group Discussion

Learning Environment – Classroom

Teacher's Role:

- ❑ Divide learners in groups and present them with the scenario below;

  Brian owns a small grocery shop in Chama. In his business, some customers pay in cash, while others pay through the bank. He sometimes allows customers a small reduction if they pay early, and he also receives reductions from suppliers when he pays quickly.

  To record all these transactions properly, Brian uses one book that has separate columns for cash, bank and discount. This system helps him keep clear and organised financial records.
- ❑ Ask learners to:
  - o Identify the appropriate Book of Prime Entry to be used by Brian to record his transactions.
  - o Explain the identified Book of Prime Entry and show how it helps him record cash, bank and discount transactions in his businesses.
- ❑ Interact with individual learners as they are answering the questions using reference materials.
- ❑ Clear any misconceptions arising from interactions with individual learners.
- ❑ Give individualised class exercise.

Let Learners:

- ❑ Discuss the questions in groups using reference materials.
- ❑ Make presentations from their discussions.
- ❑ Answer individualised class exercise.

CONTENT TIPS

The Three Column Cash Book is called "three column" because it includes an additional column for discounts (Discount Allowed and Discount Received). These discount columns are memorandum columns used to collect and record discounts for a particular period; they are not accounts.

A discount is a reduction in the price of an item. In business, there are two types of discounts:

a) Trade Discount

This is a reduction from the catalogue or list price given by one trader to another, usually for bulk buying or profit margin. It is used when calculating the invoice price and is not recorded in accounting books.

b) Cash Discount

This is a reduction from the invoice price given for prompt payment within a specified period.

There are two types:

Discounts Allowed: Cash discounts given by a business to its customers for paying quickly.

Discounts Received: Cash discounts received by a business from its suppliers for paying quickly.

Since a cash discount reduces the invoice price, separate accounts for each type of discount are opened in the nominal ledger.

Posting Cash Discounts to the Ledger

The total discounts allowed is recorded on the debit side of the Discounts Allowed Account in the nominal ledger, while the credit entries go to the individual Receivables Accounts.

The total discounts received is recorded on the credit side of the Discounts Received Account in the nominal ledger, while the debit entries go to the individual Payables Accounts.

NOTE: Discounts allowed are losses to the business whereas discounts received are gains to the business.

Below is the layout of a Three Column Cash Book

Three Column Cash Book

Date	**Details**	**F**	**Cash**				**Bank**				**Discounts**			
			Dr		**Cr**		**Dr**		**Cr**		**All**		**Rec'd**	
			K	**N**	**K**	**N**	**K**	**N**	**K**	**N**	**K**	**N**	**K**	**N**

LEARNING ACTIVITY 3

Stating the Source Documents for each Book of Prime Entry – Three Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Discussions – Learners work in groups

Learning Environment: Classroom

Teachers Role:

- Present the following transactions to the learners.

2026	
Feb 1	Dasha started the business with K10,000.00 cash.
Feb 2	Deposited K5,000.00 into the bank.
Feb 5	Peter paid K1,900.00 in cash after receiving 5% cash discount.
Feb 6	Paid K1,200.00 to a supplier by bank transfer and received K50.00 discount.
Feb 7	Paid K300.00 cash for transport.
Feb 10	Received K800.00 cash from a credit customer.
Feb 12	Deposited K1,000.00 from cash sales into the bank.

- Ask leaners to identify the type of Source document used to record each of the transactions in the Three Column Cash Book.
- Interact with individual learners as they are answering the questions using reference materials.
- Clear any misconceptions arising from interactions with individual learners.
- Give individualised class exercise.

Let learners:

- Use reference materials to explain the source document used to prepare the Three Column Cash Book.
- Make presentations from their discussions.
- Answer individualised class exercise.

CONTENT TIPS

A Three Column Cash Book uses several source documents depending on the transaction. Common documents include:

- Receipt: Used when the business receives cash from customers.
- Cheque Stub: Evidence of payment made by cheque, showing the cheque number, date, payee, and amount. (Note: Cheques are gradually being phased out.)
- Proof of Payment (POP) / Payment Instruction Slip: Shows evidence that a payment has been made through a bank.
- Deposit Slip: Used when depositing cash or cheques into the bank and serves as proof of the deposit.
- Bank Statement: Issued by the bank showing all receipts and payments, helping to verify bank column entries.
- Petty Cash Voucher: Used for small day-to-day cash expenses that may also affect the

main cash book.

LEARNING ACTIVITY 4

Recording Business Transactions in the Books of Prime Entry – Three Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- Write some transactions on the board for demonstration as shown below:

  AZ runs a small business selling school supplies in Chipata. She records all transactions in a Three Column Cash Book. Unfortunately, AZ has been very busy and has not yet completed her accounting records for the month of Feb 2026. To ensure that her business records are accurate and transparent, she has asked you, a Form 2 accounting learner, to help her organise the financial records. She had the following balances at 1 February 2026: Capital K17,800.00, Cash in hand K6,000.00, Cash at Bank K8,500.00, Debtors: Lungu K3,000.00, Kunda K2,800.00 and Creditor: Phiri Suppliers K2,500.00.

  The following transactions took place during the month of February 2026:

  2026

  Feb 3 – Received cash from Lungu K2,800.00; discount allowed K200.00.

  Feb 6 – Paid Phiri Suppliers by cheque K1,900.00; discount received K100.00.

  Feb 9 – Deposited cash K3,000.00 into bank.

  Feb 12 – Paid wages in cash K1,200.00.

  Feb 15 – Received cheque from Kunda K2,400.00; discount allowed K100.00.

  Feb 20 – Paid electricity through bank K950.00.

  Feb 25 – Cash sales K2,600.00.

  Feb 30 – Paid rent by cheque K1,500.00

  Pick the first 3 transactions Starting with the appropriate opening balances and demonstrate on how to record them in the Three Column Cash Book, taking into account cash discount.

Three Column Cash Book

Date	Details	F	Cash		Bank		Discount	
2026			**Dr (K)**	**Cr (K)**	**Dr (K)**	**Cr (K)**	**Allwd (K)**	**Recvd (K)**
Feb-01	Balance	b/d	6,000.00		8,500.00			
Feb-03	Lungu		2,800.00				200.00	
Feb-06	Phiri Suppli- ers					1,900.00		100.00
Feb-09	Bank/ Deposit	C		3,000.00	3,000.00			
Feb-12	Wages			1,200.00				
Feb-15	Kunda				2,400.00		100.00	
Feb-20	Elec- tricity					950.00		
Feb-25	Sales		2,600.00					
Feb-28	Rent					1,500.00		
Feb-28	Balance	c/d		7,200.00		9,550.00		
			11,400.00	**11,400.00**	**13,900.00**	**13,900.00**	**300.00**	**100.00**
Mar 1	Balance	b/d	7,200.00		9,550.00			

- ❑ Allow learners working in pairs to record the remaining transactions in the Three Column Cash Book and balance it off.
- ❑ Interact with learners as they are answering the questions in groups using reference materials.
- ❑ Clear any misconceptions arising from interactions with learners in their groups.
- ❑ Mark the exercise.
- ❑ Give individualised homework.

Let Learners:

- ❑ Work in pairs and prepare the Three Column Cash Book from the remaining list of transactions.
- ❑ Copy individualised homework

CONTENT TIPS

Always remember that:

- **Cash column** – records cash receipts and cash payments.
- **Bank column** – records money deposited or withdrawn via bank.
- **Discount Allowed** – discount given to customers for early payment.

- **Discount Received** – discount received from suppliers for prompt payment.

Note: Discount columns in the Three Column Cash Book are not balanced but only totaled

LEARNING ACTIVITY 5

Posting Business Transactions from Book of Prime Entry to the Ledger – Three Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- From the exercise under **Learning Activity 4**, demonstrate by posting the first 3 transactions to the ledger.

Solutions

Accounts Receivable Ledger

Lungu A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f	3,000	00		
3 Feb	Cash				2,800	00
3 Feb	Discount Allowed				200	00
			3,000	**00**	**3,000**	**00**

Kunda A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f	2,800	00		
15 Feb	Bank				2,400	00
6 Feb	Discount Allowed				100	00
28 Feb	Balance	c/d			300	00
			2,500	**00**	**2,500**	**00**
1 March	Balance	b/d	300	00		

Accounts Payable Ledger

Phiri Suppliers A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f			2,500	00
6 Feb	Bank		1,900	00		
6 Feb	Discount Received		100	00		
28 Feb	Balance	c/d	500	00		
			2,500	**00**	**2,500**	**00**
1 March	Balance	b/d			500	00

General Ledger

Wages A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
12 Feb	Cash		1,200	00		
28 Feb	Balance	c/d			1,200	00
			1,200	**00**	**1,200**	**00**
1 March	Balance	b/d	1,200	00		

Electricity A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
20 Feb	Bank		950	00		
28 Feb	Balance	c/d			950	00
			950	**00**	**950**	**00**
1 March	Balance	b/d	950	00		

Sale A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
25 Feb	Cash				2,600	00
28 Feb	Balance	c/d	2,600	00		
			2,600	**00**	**2,600**	**00**
1 March	Balance	b/d			2,600	00

Rent A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
28 Feb	Cash		1,500	00		

28 Feb	Balance	c/d			1,500	00
			1,500	**00**	**1,500**	**00**
1 March	Balance	b/d	1,500	00		

Discount Allowed A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
31 May	Totals for the month		300	00		
31 May	Balance	c/d			300	00
			300	**00**	**300**	**00**
1 June	Balance	b/d	300	00		

Discount Received A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
31 May	Totals for the month				100	00
31 May	Balance	c/d	100	00		
			100	**00**	**100**	**00**
1 June	Balance	b/d			100	00

Private Ledger

Capital A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f			17,800	00
28 Feb	Balance	c/d	17,800	00		
			17,800	**00**	**17,800**	**00**
1 March	Balance	b/d			17,800	00

- ❑ Allow learners working in pairs to post the remaining transactions to the Ledger
- ❑ Move round in class to interact with learners as they are answering the questions in groups using reference materials.
- ❑ Clear any misconceptions arising from interactions with learners in their respective groups.
- ❑ Mark the learner's work done in pairs
- ❑ Give individualized homework.

Let learners: -

- ❑ Work in pairs and prepare the General Ledger and the Sales Ledger from the example given.
- ❑ Present their work done in pairs

- ❑ Copy homework and continue hands on during free time at home.

CONTENT TIPS

A Three Column Cash Book acts as both a Book of Prime Entry and Ledger for cash and bank transactions, but balances and individual account transactions need to be posted to the general ledger for full accounting records.

LEARNING ACTIVITY 6

Extracting the Trial Balance from the Ledger – Three Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ From the ledger accounts under **Learning Activity 5 above**,
- ❑ Working in pairs, allow learners to extract the Trial Balance

Solution

Trial Balance as at 28th February, 2026

Details	Dr		Cr	
	K	N	K	N
Cash	7,200	00		
Bank	9,550	00		
Phiri Suppliers			500	00
Wages	1,200	00		
Kunda	300	00		
Electricity	950	00		
Sales			2,600	00
Rent	1,500	00		
Discount Allowed	300	00		
Discount Received			100	00
Capital			17,800	00
	21,000	**00**	**21,000**	**00**

- Mark the learner's presentations
- Clear the misconceptions

Let learners:

- Continue working in Pairs and extract the Trial Balance
- Make their presentations

CONTENT TIPS

Trial Balance is a list of balances extracted the ledger accounts.

Simple Tips for Extracting a Trial Balance from a Three Column Cash Book

- Balance the cash book first – The cash and bank columns must be balanced.

  The discount columns are only totaled.
- Take cash and bank balances – The balances are taken directly from the cash book to the trial balance.
- Post discount totals – Total Discount Allowed goes to the debit side and Discount Received goes to the credit side.
- Post other accounts to the ledger – Accounts such as rent, wages, customers, and suppliers must be posted to their ledger accounts.
- Find ledger balances – Calculate the balance of each ledger account.
- Prepare the trial balance – Write debit balances on the debit side and credit balances on the credit side.
- Check totals – The total of the debit side must be equal to the total of the credit side.

Expected Standard

- Business Transactions recorded in the Books of Prime Entry (Three Column Cash Book) correctly.
- Business Transactions posted to the Ledger correctly.

ASSESSMENT

- Assess whether learners are able to identify correct transactions to be recorded in the Three Column and Bank Column
- Assess learners' ability to explain the importance of a Three Column Cash Book
- Assess learner's ability to correctly prepare the Three Column Cash Book and post to the Ledger and extract a Trial Balance correctly

PROPOSED TASKS

LEARNING ACTIVITIES

4. ***Recording Business Transactions in the Books of Prime Entry – Three Column Cash Book***
5. ***Posting Business Transactions from Book of Prime Entry to the Ledger – Three Column Cash Book***
6. ***Extracting the Trial Balance from the Ledger – Three Column Cash Book***

Task

In Mulamba Community, young people started a small business selling drinks and snacks during a football tournament to raise money for community activities. They agreed to record all money received and paid clearly and honestly to maintain trust. During the event, the business received cash, bank, and mobile payments, and sometimes gave discounts for early payment. The treasurer was advised to record these transactions in the appropriate Book of Prime Entry.

Required:

i. As the treasurer of the group, identify the Book of Prime Entry that should be used to record the cash, bank, and discount transactions from the business.

ii. Explain the book you identified and how it will help the group record and manage their money properly.

LEARNING ACTIVITY 5

Stating the Source Documents for each Day Book – Three Column Cash Book.

Task

A youth group runs a small community bakery to raise money for school uniforms of the needy learners. The treasurer records all money received and paid in a Three Column Cash Book. During the week, some transactions were not properly supported by documents.

Date	Transaction	Amount	Source Document
May 1	Started business with cash	K3,000.00	Receipt
May 2	Sold cakes for cash	K800.00	
May 3	Received a credit transfer from a customer	K1,200.00	
May 4	Bought flour and sugar with cash	K500.00	
May 5	Paid wages to helpers	K400.00	
May 6	Allowed discount to a customer for early payment	K50.00	
May 7	Deposited cash into the bank	K1,000.00	Deposit slip

Required: Identify the source document that should support each transaction.

LEARNING ACTIVITIES

1. ***Recording Business Transactions in the Books of Prime Entry – Three Column Cash Book***
2. ***Posting Business Transactions from Book of Prime Entry to the Ledger – Three Column Cash Book***
3. ***Extracting the Trial Balance from the Ledger – Three Column Cash Book***

Task

In Chama South, Janet Ngulube runs a small motor dealership. She buys cars from suppliers, sells them to customers, and manages cash and bank money carefully.

At the start of March 2026, she had cash K3,680,000.00, Cash at Bank K76,096,000, Capital K, Receivables: R Banda K2,240,000.00, E Tobwa K4,000,000.00, C Chola K5,000,000.00, B Hansengele K1,232,000.00 and Payables: N Bwalya K6,000,000.00, P Tailoka K7,680,000.00, C Wamulume K14,000,000.00, T Muchona K2,240,000.00. She needed to make sure she had enough money for rent, wages, motor expenses, and other urgent costs, while also taking advantage of discounts from suppliers.

During March, the business had cash and bank receipts from customers, payments to suppliers with discounts, expenses like rent, wages, and motor repairs, drawings, purchase of fixtures, a loan received, and commission income. During the month of March 2026, the following transactions took place:

- Mar 2: The following paid their accounts by bank transfer, in each case deducting 5% cash discount: R Banda K2,240,000.00; E Tobwa K3,520,000.00; C Chola K4,800,000.00.
- Mar 4: Paid rent through the bank K1,920,000.00.
- Mar 6: J Kantu lent us K16,000,000.00 paying through the bank.
- Mar 8: We paid the following accounts via bank transfer in each case deducting 5% cash discount: N Bwalya K5,600,000.00; P Tailoka K7,680,000.00; C Wamulume K12,800,000.00.
- Mar 10: Paid motor expenses in cash K704,000.00.
- Mar 12: B Hansengele pays us his account of K1,232,000.00 via bank transfer of K1,184,000.00 in full settlement of his account.
- Mar 15: Paid wages in cash K2,560,000.00.
- Mar 21: Cash withdrawn from the bank K5,600,000.00 for business use.
- Mar 24: Cash drawings K1,920,000.00.
- Mar 25: Paid T Muchona his account of K2,240,000.00 by cash K2,128,000.00 in full settlement of his account.
- Mar 29: Bought fixtures paying by bank transfer K10,400,000.00.
- Mar 31: Received commission by bank K1,408,000.00.

Let learners:

1. Prepare a Three Column Cash Book with cash, bank, and discount columns.
2. Post balances from the cash book to the ledger accounts.
3. Extract a Trial Balance at the end of March.

SUMMARY

Ensure learners are able to:

- Identify a Three Column Cash Book
- Explain a Three Column Cash Book
- State the source documents for the Three Column Cash Book
- Record Business Transactions in a Three Column Cash Book
- Post Business Transactions from the Three Column Cash Book to the Ledger
- Extract the Trial Balance for the Three Column Cash Book

2.1.1 Sub Topic – Types of Books of Prime Entry- Petty Cash Book

Introduction

A **Petty Cash Book** is a book of prime entry used to record **small and frequent cash payments** made by a business.

In this subtopic, learners will study the format of the Petty Cash Book, how to record transactions, balance it off, post to the Ledger and extract the Trial Balance.

The petty cash book helps a business record small day-to-day expenses such as transport, stationery and cleaning materials. It helps the business control small payments and keep clear records of how money is spent.

Specific Competence

- Record Business Transactions in the Books of Prime Entry – Petty Cash Book.
- Post Business Transactions to the Ledger – Petty Cash Book.

KEY TERMS

- **Petty Cash** – refers to a small amount of cash kept on hand for minor expenses.
- **Petty**- refers to small or minor expenses, like office supplies, or snacks, taxi/ bus fare, cobra, stationery etc.
- **Reimbursement-** means **giving back the money that was spent from the petty cash**
- **Petty Cashier-** refers to a person who manages petty cash and maintains or prepares the petty Cash Book.

- **Cash float**- refers to the initial amount given to the petty cashier
- **Analysis column** – refers to columns that are used to categorize petty cash expenses.
- **Chief Cashier** -refers to the main person who is responsible for managing a company's cash transactions including reimbursement of petty cash including overseeing petty cash.
- **Imprest system**- is a method used to manage **petty cash** where a **fixed amount of money is kept for small expenses.**
- **Restoring imprest** - means **adding back the money spent from petty cash so it returns to its original fixed amount**.

LEARNING ACTIVITIES

- Identifying Books of Prime Entry – Petty Cash Book
- Explaining Books of Prime Entry – Petty Cash Book
- Stating the source documents for each Book of Prime Entry - Petty Cash Book
- Recording Business Transactions in the Books of Prime Entry – Petty Cash Book
- Posting Business Transactions from Book of Prime Entry (Petty Cash Book) to the ledger
- Extracting the Trial Balance from the Ledger - Petty Cash Book

SUGGESTED LEARNING MATERIALS FOR THE PETTY CASH BOOK

- **Sample Petty Cash Book** – to help learners see the format and understand how transactions are recorded.
- **Receipts and Vouchers** – used for practical activities where learners record real or sample petty cash transactions.
- **Textbooks/Accounting notes** – to provide explanations and examples of petty cash transactions and the imprest system.
- **Calculators** – to help learners calculate totals and balances when recording expenses.
- **Stationery (pens, paper, notebooks)** – for learners to practice recording petty cash transactions.
- **Charts or Posters** – showing the format and steps of recording in a petty cash book.
- **Projector/Whiteboard** – for demonstrations and step-by-step explanations of how to record transactions.

Note: Use appropriate **teaching and learning materials such as petty cash vouchers, sample ledgers, and charts,** to help learners visualize transactions and practice recording financial information accurately. However, it is always necessary to align the teaching and learning materials to your own learning Environment.

Note: The underlisted learning activities are interrelated and can be taught using the same methodology.

LEARNING ACTIVITIES

1. **Identifying Books of Prime Entry – Petty Cash Book**
2. **Explaining Books of Prime Entry – Petty Cash Book**

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

***For illustration purposes relate to the example below*:**

Methodology: Discussion – Group Discussion

Learning Environment: Classroom.

Teacher's Role

- ❑ Divide learners in groups
- ❑ Present them with the scenario below with reference materials

  Martha uses a petty cash system to record small business expenses like pens, transport, postage, and stationery. She records payments for snacks, office tea, and other small expenses to keep the business finances organised and accurate. All money is used for business purposes and properly recorded for easy checking.

- ❑ Ask Learners to discuss in groups:
- ❑ which book of prime entry would be appropriate for Martha's business
- ❑ Explain the identified book of Prime entry
- ❑ Allow learners to make group presentations.
- ❑ Take note of the learner's presentations
- ❑ Allow learners to make comments
- ❑ Clear any misconceptions after the group presentations.
- ❑ Give Individualised exercise
- ❑ Mark the learner's books in class.

Let Learners:

- ❑ Discuss in groups using reference materials given.
- ❑ Make presentations from their discussions.
- ❑ Copy and answer the class exercise
- ❑ Submit books for marking.

CONTENT TIPS

The Petty Cash Book is a Book of Prime Entry that is used to record **small and frequent cash** payments made by a business. These payments are usually minor expenses that occur regularly and would be inconvenient to record individually in the main cash book

Lay out and identification of the Petty Cash Book

- ❍ The Petty Cash Book Can be identified by its uniqueness, it has a number of analysis columns. The following is the format of the Petty Cash Book:

TITLE

Date	Details	PVC	Amount Received		Amount Spent Stationery		Analysis Columns					
							Postage		Transport			
			K	N	K	N	K	N	K	N	K	N

Note: The number of analysis columns is dependent on the nature of the petty Cash expenses given, or nature of petty cash expenses incurred in a given period.

- ❍ The Title of the Petty Cash Book is written on top of the template.
- ❍ Date column – for entering the date when the transaction took place.
- ❍ Details column – for entering particulars of a transaction.
- ❍ PVC column – for entering the petty cash voucher number.
- ❍ Amount Received Column- for entering the Petty Cash float received.
- ❍ Amount Spent Column- for entering the monetary value of the total amount spent of a transaction.
- ❍ Analysis Columns – Categorised according to the kind or nature of expenses incurred

in a given period or month and are used to specify the purpose of petty cash expense in monetary value. Often businesses use the Imprest System**,** where a fixed amount of petty cash is given and later replaced to the original amount after expenses are recorded.

LEARNING ACTIVITY 3

Stating the source document for each Book of Prime Entry – Petty Cash Book

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

***For illustration purposes relate to the example below*:**

Methodology: Discussion – Individualised Class exercise.

Learning Environment: Classroom.

Teacher's Role

Teacher's Role:

- present to the learners the scenario under Learning **Activity 2**.
- ask the following question:
    - Identify the appropriate source document Martha would use when recording the transactions in the Petty Cash Book.
- Allow learners present books for marking

Let learners:

- Answer the question from the given scenario.
- Present their work for marking

CONTENT TIPS

- The source document for the Petty Cash Book is the Petty Cash Voucher.
- It serves as proof of payments made.
- It also helps with the audit process.
- The Petty Cash Vouchers have serial numbers for the purpose of tracking expenditure.

LEARNING ACTIVITY 4

Recording business transactions in the Books of Prime Entry- Petty Cash Book

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

***For illustration purposes relate to the example below*:**

Methodology: collaboration – Learners work in Pairs

Learning Environment: Classroom.

Teacher's Role

- Write six (6) Petty Cash transactions on the board, relating to Learning Activity No. 4 after the following scenario.

  Mubita sells household goods and the business was facing difficulty in controlling and recording many small daily expenses, which could lead to confusion, poor record keeping, and possible misuse of money. The petty cash system was introduced to improve accountability and proper documentation of these small payments.

  During January 2026, the following petty cash expenses took place:

  2026

  January 1 Received monthly Cash float K3,000.00

  January 10 paid for disinfectants K1,150.00

  January 15 Paid for Taxi-fare K120.00

  January 20 Paid for a ream of bond Paper K180.00

  January 26 paid for Office Pens K155.00

  January 30 Paid for cleaning materials K450.00

  NB: Use the following Analysis columns: Cleaning, Transport and Stationery.

Solution

MUBITA'S

PETTY CASH BOOK

Date	Details	PVC	Amount Received		Amount Spent		ANALYSIS COLUMNS					
					Cleaning		Trans-port	Statio-nery				
2026			K	N	K	N	K	N	K	N	K	N
Jan 1	Cash Float		3,000	00								
10	Disinfectants	1			1150	00	1150	00				
15	Taxi-fare	2			120	00			120	00		
20	Ream of bond paper	3			180	00					180	00
26	Office Pens	4			155	00					155	00
30	Cleaning Materials	5			450	00	450	00				
31	Balance c/d				945	00						
			3,000	00	3,000	00	1,600	00	120	00	335	00
Feb 1	Balance b/d		945	00								
Feb 1	Imprest Re-stored		2,055	00								
Feb 1	Cash Float		3,000	00								

- Pick the first 3 transactions and demonstrate on how to record them in the Petty Cash Book.
- Allow learners working in pairs to record the remaining transactions in the Petty Cash Book.
- Move round to mark learner's books and clear any misconceptions
- Give individualised class exercise/homework.

Let learners:

- Work in pairs and prepare the Petty Cash Book from the remaining transactions.
- Copy class exercise/homework
- Answer the class work as individuals
- Submit exercise/homework the following day.

CONTENT TIPS

To record transactions in a Petty Cash Book:

- Start with the Petty Cash Float, record the amount of money given to the petty cashier at the beginning of the period.
- Record Transactions by entering each payment.
- Use Petty Cash Vouchers or Receipts as source documents.
- Enter clear details (Particulars) such as transport, stationery, or postage.
- Use the Correct Analysis Column: Place the amount under the correct expense column (e.g., transport, postage, stationery, sundries).
- Total the Columns at the end of the period

At the end of the petty cash period, the petty cash book is balanced, the amount in hand checked with the cash box, and the amount spent checked with receipts and petty cash vouchers. The petty cashier is then reimbursed the amount of cash spent so that he/she starts every new period with the same amount of float

LEARNING ACTIVITY 5

Posting Business Transactions from Book of Prime Entry to the Ledger – Three Column Cash Book

Methodology

Suggested methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role

- From the exercise under **Learning Activity 4**, demonstrate by posting the first 3 transactions to the ledger.

Solutions

Accounts Receivable Ledger

Lungu A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f	3,000	00		
3 Feb	Cash				2,800	00
3 Feb	Discount Allowed				200	00
			3,000	**00**	**3,000**	**00**

Kunda A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f	2,800	00		
15 Feb	Bank				2,400	00
6 Feb	Discount Allowed				100	00
28 Feb	Balance	c/d			300	00
			2,500	**00**	**2,500**	**00**
1 March	Balance	b/d	300	00		

Accounts Payable Ledger

Phiri Suppliers A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f			2,500	00
6 Feb	Bank		1,900	00		
6 Feb	Discount Received		100	00		
28 Feb	Balance	c/d	500	00		
			2,500	**00**	**2,500**	**00**
1 March	Balance	b/d			500	00

General Ledger

Wages A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
12 Feb	Cash		1,200	00		
28 Feb	Balance	c/d			1,200	00
			1,200	**00**	**1,200**	**00**
1 March	Balance	b/d	1,200	00		

Electricity A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
20 Feb	Bank		950	00		
28 Feb	Balance	c/d			950	00
			950	**00**	**950**	**00**
1 March	Balance	b/d	950	00		

Sale A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
25 Feb	Cash				2,600	00
28 Feb	Balance	c/d	2,600	00		
			2,600	**00**	**2,600**	**00**
1 March	Balance	b/d			2,600	00

Rent A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
28 Feb	Cash		1,500	00		
28 Feb	Balance	c/d			1,500	00
			1,500	**00**	**1,500**	**00**
1 March	Balance	b/d	1,500	00		

Discount Allowed A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
31 May	Totals for the month		300	00		
31 May	Balance	c/d			300	00
			300	**00**	**300**	**00**
1 June	Balance	b/d	300	00		

Discount Received A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
31 May	Totals for the month				100	00
31 May	Balance	c/d	100	00		
			100	**00**	**100**	**00**
1 June	Balance	b/d			100	00

Capital A/c

Date	Details	F	Debit		Credit	
2026			K	N	K	N
1 Feb	Balance	b/f			17,800	00
28 Feb	Balance	c/d	17,800	00		
			17,800	**00**	**17,800**	**00**
1 March	Balance	b/d			17,800	00

- Allow the learners working in pairs to post the remaining transactions in the General Ledger Book.
- Mark the learners' work done in pairs and clear any misconceptions
- Give individualized class exercise/homework.
- Give the due date for the submission of home work.

Let learners:

- Work in pairs and prepare the General Ledger from the example given.
- Present their work done in pairs for marking
- Copy class exercise/homework

CONTENT TIPS

Rules for posting the Petty Cash Book to the Ledger Books.

- When petty cash is established or restored under the imprest system, the Petty Cash Account is debited and the Bank Account is credited, to record the withdrawal of money from the bank for petty cash purposes.
- Expenses accounts are recorded in the General Ledger. The analytical columns become expenses accounts and their individual totals are debited to complete the double entry system.

Note: When drawing the columns, the details column should be the widest.

LEARNING ACTIVITY 6

Extracting the Trial Balance from the Ledger – Three Column Cash Book

Methodology

Suggested Methodology (Collaboration, Discussions and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration Purposes relate to the example given below:

Methodology: Collaboration- Learners Work in Pairs

Learning Environment: Classroom.

Teacher's Role:

- From the ledger accounts under Learning Activity 5 above,
- Working in pairs, allow learners to extract the Trial Balance

Trial Balance as at 28th February, 2026

Details	Debit		Credit	
	K	N	K	N
Cash	7,200	00		
Bank	9,550	00		
Phiri Supplies			500	00
Wages	1,200	00		
Kunda	300	00		
Electricity	950	00		
Sales			2,600	00
Rent	1,500	00		
Discount Allowed	300	00		
Discount Received			100	
Capital			17,800	00
	21,000	**00**	**21,000**	**00**

- ❑ Go round the groups and mark the learner's work and clear any misconceptions
- ❑ Give Individualised exercise
- ❑ Give Individualised homework and indicate the due date.

Let learners:

- ❑ Continue working in pairs and extract the Trial Balance.
- ❑ Copy class exercise and submit the books for marking.
- ❑ Copy home work

Expected Standard

- ➢ Business Transactions recorded in the Books of Prime Entry - Petty Cash Book Correctly
- ➢ Business Transactions Posted to the Ledger Correctly – Petty Cash Book

ASSESSMENT

- ❑ Assess whether the learners are able to identify correct transactions to be recorded in the Petty Cash Book.
- ❑ Assess learner's ability to identify the correct analysis columns from the given transactions
- ❑ Assess learners' ability to explain the importance of the petty Cash Book

- ❑ Assess whether learners are able to identify correct source document for the Petty Cash Book
- ❑ Assess learners' ability to correctly prepare the Petty Cash Book, post to the Ledger and Extract the Trial Balance.

PROPOSED TASKS

LEARNING ACTIVITIES

1. ***Identifying Books of Prime Entry – Petty Cash Book***
2. ***Explaining Books of Prime Entry – Petty Cash Book***

Task 1.

You are the petty cashier of a small office. During one week, you made the following payments from petty cash:

Items	**Amount (K)**
Tea	25.00
Sugar	15.00
Biscuits	20.00
Motor vehicle	105,000.00
Transport fare	50.00
Fixtures and Fittings	500.00

Tasks:

i. Identify which items should be recorded in the petty cash book.

ii. Explain what a petty cash book is.

iii. Record the petty cash payments in a simple table and calculate the total.

LEARNING ACTIVITY 3

Stating the Source Document for each Book of Prime Entry – Petty Cash Book

Task

You are the petty cashier of a small office. During one week, you used the petty cash fund to buy tea, sugar, biscuits, and pay for transport fares for staff. The office also purchased a motor vehicle and fixtures and fittings, but these payments were made through the bank.

Required

i. For each petty cash payment, **state the source document that would be used**.

ii. Explain what a petty cash book is and why it is important in an office.

LEARNING ACTIVITIES

1. ***Recording Business Transactions in the Books of Prime Entry – Petty Cash Book***
2. ***Posting Business Transactions from Book of Prime Entry to the ledger – Petty Cash Book.***
3. ***Extracting the Trial Balance from the Ledger - Petty Cash Book***

Task

In Chama South, Janet Ngulube runs a small motor dealership. She buys cars from suppliers, sells them to customers, and manages cash and bank money carefully.

At the start of March 2026, she had cash K3,680,000.00, Cash at Bank K76,096,000, Capital K, Receivables: R Banda K2,240,000.00, E Tobwa K4,000,000.00, C Chola K5,000,000.00, B Hansengele K1,232,000.00 and Payables: N Bwalya K6,000,000.00, P Tailoka K7,680,000.00, C Wamulume K14,000,000.00, T Muchona K2,240,000.00. She needed to make sure she had enough money for rent, wages, motor expenses, and other urgent costs, while also taking advantage of discounts from suppliers.

During March, the business had cash and bank receipts from customers, payments to suppliers with discounts, expenses like rent, wages, and motor repairs, drawings, purchase of fixtures, a loan received, and commission income. During the month of March 2026, the following transactions took place:

Mar 1: Balances brought forward: cash K3,680,000.00 and bank K76,096,000.00.

Mar 2: The following paid their accounts by bank transfer, in each case deducting 5% cash discount: R Banda K2,240,000.00; E Tobwa K3,520,000.00; C Chola K4,800,000.00.

Mar 4: Paid rent through the bank K1,920,000.00.

Mar 6: J Kantu lent us K16,000,000.00 paying through the bank.

Mar 8: We paid the following accounts via bank transfer in each case deducting 5% cash discount: N Bwalya K5,600,000.00; P Tailoka K7,680,000.00; C Wamulume K12,800,000.00.

Mar 10: Paid motor expenses in cash K704,000.00.

Mar 12: B Hansengele pays us his account of K1,232,000.00 via bank transfer of K1,184,000.00 in full settlement of his account.

Mar 15: Paid wages in cash K2,560,000.00.

Mar 21: Cash withdrawn from the bank K5,600,000.00 for business use.

Mar 24: Cash drawings K1,920,000.00.

Mar 25: Paid T Muchona his account of K2,240,000.00 by cash K2,128,000.00 in full settlement of his account.

Mar 29: Bought fixtures paying by bank transfer K10,400,000.00.

Mar 31: Received commission by bank K1,408,000.00.

Let learners:

1. Prepare a Three Column Cash Book with cash, bank, and discount columns.
2. Post balances from the cash book to the ledger accounts.
3. Extract a Trial Balance at the end of March.

SUMMARY

Ensure learners are able to:

- Enter transactions in the Petty Cash Book
- Post transactions to the Private Ledger and General Ledger.
- Extract the Trial Balance from the Petty Cash Book, Private Ledger and the General Ledger
- Write the correct title for the trial balance
- Bring down the balances in the Trial Balance and balance it correctly.

APPENDIX 1: SAMPLE LESSON PLAN.

SAMPLE LESSON PLAN

SCHOOL: …………………………………………………………………………………

NAME OF TEACHER: ………………………………… **DATE:** 14th January, 2026

CLASS: Form 2A **DURATION:** 80 minutes

TIME: 10:00 – 11:20 Hours **TOTAL NO. OF PUPILS:**75

SUBJRCT: Principles of Accounts

TOPIC: 2.1 Books of Prime Entry

SUB-TOPIC: 2.1.1 Books of Prime Entry - Single Column Cash Book

GENERAL COMPETENCES: ***Critical Thinking, Collaboration, Creativity, Innovation and Communication***

SPECIFIC COMPETENCE(S):

1. Record Business Transactions in the Books of Prime Entry – Single Column Cash Book.
2. Post Business Transactions to the Ledger – Single Column Cash Book.

LESSON GOAL: Learners to identify and explain the Single Column Cash Book as a Book of Prime Entry correctly.

RATIONALE: This lesson equips learners with skills to properly record cash transactions, which is essential in managing small businesses and personal finances.

PRIOR KNOWLEDGE:

- Learners understand basic cash transactions
- Familiar with small business activities taking place in their local environment

REFERENCES:

- Form 2 Term 1, Principles of Accounts, Scheme of Work.
- 2024 Commerce and Principles of Accounts Secondary Education Ordinary Level Syllabus - Form 1-4 page 36
- 2026 Principles of Accounts Form 2 Teaching Module Term 1 page….
- Complete Accounts for Cambridge Ordinary Level and IGCSE
- Business Accounting Volume 1

LEARNIG ENVIRONMENT

Natural Environment: Classroom

TEACHING AND LEARNING MATERIALS/RESOURCES

- Chalkboard/Whiteboard – for illustrating the cash book format and examples

- Charts/Posters – showing the structure of a Single Column Cash Book
- Textbooks – for reference and guided learning
- Exercise books – for practice and recording work
- Prepared examples/scenarios – to aid understanding (e.g., small business cases)
- Markers/Chalk – for writing and demonstration

EXPECTED STANDARD: *Business Transactions recorded in the Books of Prime Entry correctly*

LESSON PROGRESSION:

STAGES	TEACHER'S ACTIVITIES	LEARNERS' ACTIVITIES	ASSESSMENT CRITERIA
INTRODUC-TION **5 Minutes**	• Greets learners • Asks a probing question: *"If you were running a small shop, how would you record money received and money paid out?"* • *Introduce the idea of recording cash transactions* • *Link responses to the* ***Single Column Cash Book***	• Respond to the question • Share ideas based on prior knowl-edge	• Observe learner's par-ticipation and responses.
LESSON DE-VELOPMENT **20 minutes**	**Learning Activity 1: Identify the Book of Prime Entry – Single Column Cash Book** • Put leaners in pairs • Present them with some reference materials • Writes the following on the board: o Sales Journal o Purchases Journal o Cash Book • Asks learners to identify which book records cash transactions • Guides discussion and clear any misconceptions	• Working in pairs • Identify the correct book • Share answers with the class	• Observe learner's participation and responses

<table>
<tr>
<td>LESSON DE-
VELOPMENT
Cont…

30 Minutes</td>
<td>Learning Activity 2: Explain the Book of Prime Entry – Single Column Cash Book

Teacher Activity

• Asks learners to explain A Single Column Cash by way of group presentations
• Guide both discussions and presentations
• Clear any misconceptions arising from the discussions and presentations
• Give Notes</td>
<td>• Explains:
o A Single Column Cash Book records cash received and paid
o It has one amount column on each side
o It acts as both:
▪ A book of prime entry
▪ A ledger account
• Draws the format on the board/charts
• Take notes
• Explain the concept in their own words</td>
<td>learner’s participation and responses</td>
</tr>
<tr>
<td>EXERCISE/
ASSESMENT
15 Minutes</td>
<td>• From the proposed tasks for assessment in the teaching module for Form 2 Term 1 give:
o Class Exercises,
o Give feedback by marking learners’ exercise books promptly.</td>
<td>Copy and answer the given exercises</td>
<td>Assess individual learners’ ability in:
• Identifying Single Column Cash Book
• Explaining Column Cash Book</td>
</tr>
<tr>
<td>HOMEWORK
5 MINUTES</td>
<td>Write a few mixed transactions for the credit sales, credit Purchases and cash,

Ask learners to individually
1. Identify the appropriate book of Prime Entry for Cash Transactions
2. Explain the identified biook of prime entry and
3. Draw its format</td>
<td>Copy and answer the given Homework</td>
<td>Monitor leaners responses and ability to answer questions correctly</td>
</tr>
</table>

CONCLUSION **5 minutes**	Summarise the lesson by highlighting the key components of the lesson as follows: A Single Column Cash Book: • Records cash transactions only • Is a book of prime entry • Helps in tracking money received and paid	Listen and take notes	Observations

LESSON EVALUATION:

- **Successes of the lesson** – Out of 75 learners, 65 were able to identify the Single Column Cash Book correctly.
- **Challenges of the lesson** – 10 learners had challenges in explaining the Single Column Cash Book.
- **Follow up Action** – Give remedial work to the learners with challenges and keep a record for tracking their break through.

TERM 2

2.1 TOPIC: BOOKS OF PRIME ENTRY

Introduction

Books of Prime Entry are books of accounts used for recording business transactions from source documents before they are posted to the ledger.

In Form 2 Term 2, learners focus on the remaining Book of Prime Entry, which is the General Journal. The General Journal is used to record transactions that cannot be recorded in other specialised books, such as opening entries, credit purchases and sales of assets, corrections of errors, and other special transactions.

The General Journal helps businesses keep accurate and complete records of transactions. This makes it easier to organise information, post to the ledger, and extract the Trial Balance. In real life, businesses use the General Journal to ensure that all important transactions are properly recorded and explained.

GENERAL COMPETENCES

- Analytical Thinking
- Communication
- Critical Thinking
- Entrepreneurship
- Financial Education
- Problem Solving
- Digital Literacy

SUGGESTED TEACHING MATERIALS FOR THE GENERAL JOURNAL

- **Sample General Journal** – helps learners see the format and how journal entries are written.
- **Source documents (invoices, credit notes, debit notes and receipts)** – provide the information used to record transactions in the General Journal.
- **Textbooks or accounting notes** – give explanations and examples of journal entries.
- **Calculators** – help learners check and calculate amounts correctly.
- **Charts or posters** – show the format and rules for recording in the General Journal.
- **Case studies or real-life scenarios** – help learners understand how businesses record transactions.
- **Projector or whiteboard** – used by the teacher to demonstrate how entries are recorded step by step.Top of Form

2.1.1 Sub Topic – Types of Books of Prime Entry – General Journal

Introduction

The General Journal is a book of prime entry where unique (unusual) business transactions are first recorded before they are posted to the ledger accounts. It is mainly used to record transactions that cannot be entered in other books of prime entry, such as correcting errors, opening entries and adjusting entries.

In this sub-topic, learners will study the meaning of the General Journal, its format, the parts of a journal entry (date, details, debit and credit), and how to record simple transactions correctly. Learners will also learn how to apply the double entry principle when making journal entries and how to post those entries to the ledger.

It is important in real life because it helps businesses keep accurate and complete financial records. Proper use of the General Journal helps to reduce errors, improve accountability and ensure that financial information is reliable for decision-making.

Specific Competences

- ❑ Record Business Transactions in the Books of Prime Entry – General Journal
- ❑ Post Business Transactions to the Ledger – General Journal

CONTENT TIPS

- ❑ **Double Entry Principle** – The rule that every transaction affects two accounts, one debited and one credited.
- ❑ **Narration** – A brief explanation written below a journal entry to describe the transaction, usually beginning with the word 'Being…'.
- ❑ **Journal Entry** – The record of a transaction showing the debit and credit accounts.
- ❑ **Posting** – The process of transferring entries from the General Journal to the ledger.

LEARNING ACTIVITIES

- ❑ Identifying Books of Prime Entry – General Journal
- ❑ Explaining Books of Prime Entry – General Journal
- ❑ Stating the source documents for each book of prime entry - General Journal
- ❑ Recording Business Transactions in the Book of Prime Entry – General Journal
- ❑ Posting Business Transactions from Books of Prime Entry (General Journal) to the Ledger
- ❑ Extracting the Trial Balance from the Ledger

Note: **The under listed learning activities are interrelated and may be taught using the same methodology.**

LEARNING ACTIVITIES

1. **Identifying Books of Prime Entry – General Journal**
2. **Explaining Books of Prime Entry – General Journal**

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Group discussion

Learning Environment: Classroom

Teacher's role:

- Organise learners into groups.
- Provides the following Scenario:

  Chanda owns a small hardware shop in Katapazi and wants to keep proper accounting records so that his business can grow in an organised and responsible way. During the month, he started the business with cash and furniture, bought a motor bike on credit, and later corrected an error where electricity expense had been recorded in the wrong account.

  His assistant is confused about where these transactions should be recorded first before posting to the ledger. Chanda explains that recording transactions correctly at the beginning helps to keep the business honest, accurate and well managed. Proper records help him make wise financial decisions, correct mistakes, and build trust with suppliers and customers.
- Explain that each group must:
  - Identify the correct book of prime entry for the transactions in the scenario.
  - Explain why that book is suitable.
- Move around the class to guide and support learners.
- Ask probing questions where learners are stuck.
- Ensure all group members participate.

- ❑ Correct mistakes and summarise the key points.
- ❑ Give individual home work.

Let Learners:

- ❑ Form groups as directed by the teacher.
- ❑ Each group representative, present their answers.
- ❑ Allow other learners to comment.
- ❑ Listen to other groups and take notes.
- ❑ Copy home work and answer in their spare time.

CONTENT TIPS

The **General Journal** is a book of original entry used in accounting. It is used to record transactions that cannot be entered in the cash book, sales journal, purchases journal, sales returns journal, purchases returns journal or petty cash book. It is sometimes called the *Journal Proper*, and all transactions are recorded in date order (chronological order).

The General Journal records special types of transactions. These include opening entries at the start of a business, purchase of fixed assets on credit such as Furniture or Equipment and sale of non-current assets on credit that are no longer in use such as Computers or Motor Vehicles. It is also used to record correction of errors and transfer entries such as transferring expenses or income.

The General Journal shows how each transaction affects the accounts. It indicates the account to be debited, the account to be credited, and includes a short explanation called a narration. Each entry follows the double entry rule, where one account is debited and another is credited.

The General Journal is important because it helps a business to record special and unusual transactions correctly. It also helps in correcting errors, keeping proper and complete accounting records, and providing clear details of transactions that do not fit into other books of prime entry.

LEARNING ACTIVITY 3

Stating the source document for each Book of Prime Entry - General Journal

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Group discussion

Learning Environment: Classroom

Teacher's role

- ❑ Organise learners into groups.
- ❑ Provides the following Scenario:

  Chisomo runs a small garbage collection business in Kasempa that helps keep the community clean and safe. One day, strong winds scattered her source documents, and they became mixed up in her record book. Although she still remembers the transactions that took place, she is unsure which source documents should support each entry in the General Journal. During the month, she bought waste collection bins on credit from a supplier and also corrected an error where transport expense had been wrongly recorded in the cleaning materials account.

- ❑ Ask learners to:
  - o Identify the correct source documents for the above transactions.
  - o Explain why each document is suitable so that her business records remain clear and accurate.
- ❑ Move around the class to guide and support learners.
- ❑ Ask probing questions where learners are stuck.
- ❑ Ensure all group members participate.
- ❑ Correct mistakes and summarise the key points.
- ❑ Give individual home work.

Let Learners:

- ❑ Form groups as directed by the teacher.
- ❑ Each group representative, present their answers.
- ❑ Allow other learners to comment.
- ❑ Listen to other groups and take notes.
- ❑ Copy the home work and answer it during their spare time.

CONTENT TIPS

Several source documents are used when recording entries in the General Journal.

- ❍ A debit note is used when goods are returned to a supplier and it reduces the supplier's account.
- ❍ A credit note is used when customers return goods to the business and it reduces the customer's account.
- ❍ **Invoice** is used as the source document when fixed assets such as furniture or equipment are bought on credit. It shows the details of the goods supplied and the

amount owed to the supplier.

Other source documents include documents for opening entries, which show the assets, liabilities, and capital at the start of a business or a new accounting period. Internal documents are also used for the correction of errors and for transfer entries, such as transferring expenses or income from one account to another.

Source documents are important because they provide proof that transactions are genuine, ensure accuracy in recording, help in checking and correcting errors, and support proper record keeping.

LEARNING ACTIVITY 4

Recording Business Transactions in the Books of Prime Entry – General Journal

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in Groups

Learning Environment: Classroom

Teacher's Role:

Hook:

Imagine you are the owner of a small shop in Mangango. Every day, money comes in and goes out. Sometimes goods are returned. Sometimes you buy on credit. Sometimes you correct a mistake.

Now think carefully…

Where do you first record these special transactions before they go to other accounts?

That special book is called the General Journal — the *secret book of first entry*!

Prompt learners with a few questions:

- ☐ *If your business buys a desk on credit, where would you record it first?*
- ☐ *Why do you think businesses need a special book for unusual (unique) transactions?*

Transition into the lesson:

To solve this kind of problem in business, we use a special book called the General Journal. Today, we will learn what it is, why its important and how to prepare one just like a real business owner.

Proceed with the lesson.

- ❑ Write a few transactions for the General Journal on the board, as shown below:

  Chileshe owns a small business called Chileshe Stationery in Chinsali, Muchinga Province of Zambia. On 1 January 2026, she decided to improve her record keeping so that her business finances can be clear, organised and properly managed. She wants to use the General Journal to record transactions correctly before posting them to the ledger. However, she is not sure how to prepare the General Journal, especially when recording opening balances, credit sales of assets and credit purchases of assets. She asks you to help her record the transactions for January 2026.

As at 1 January 2026, the business had the following opening balances: Cash of K5,000.00, Bank balance of K12,000.00, Fixtures valued at K8,000.00, and a Motor Van worth K30,000.00. The business also owed Creditors K6,000.00 and had a Loan from the Bank amounting to K10,000.00. The Capital was the balancing figure.

3 Jan – Bought office chairs on credit from Mwansa Traders for K4,500.00
5 Jan – Bought a printer on credit from Tech World for K3,200.00
10 Jan – Sold old furniture on credit to Lunda Enterprises for K2,000.00
15 Jan – Purchased land on credit from Green Farms for K20,000.00
18 Jan – Sold a used computer on credit to Kaleni Stores for K1,500.00
28 Jan – Bought a delivery bicycle on credit from Fast Wheels for K2,800.00

You are required to prepare the General Journal to record the opening balances and the transactions that follow.

SOLUTION

Chileshe Stationery's

General Journal

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 1	Cash		5,000	00		
	Bank		12,000	00		
	Fixtures		8,000	00		
	Motor Van		30,000	00		
	Creditors				6,000	00
	Loan				10,000	00
	Capital				39,000	00
			55,000	**00**	**55,000**	**00**
	(Being opening balances as at 1 January 2026)					
Jan 3	Office Chairs		4,500	00		
	Mwana Traders				4,500	00
	(Being Office Chairs bought on credit)					
Jan 5	Printers		3,200	00		
	Tech World				3,200	00
	(Being Printers bought on credit)					

Jan 10	Lunda Enterprises		2,000	00		
	Furniture				2,000	00
	(Being Furniture sold on credit)					
Jan 15	Land		20,000	00		
	Green Farms				20,000	00
	(Being Land bought on credit)					
Jan 18	Kaleni Stores		1,500	00		
	Computer				1,500	00
	(Being Computers sold on credit)					
Jan 28	Delivery Bicycle		2,800	00		
	Fat Wheels				2,800	00
	(Being Delivery Bicycle bought on credit)					

- ❑ Pick the opening balances and two transactions that follow and demonstrate on how to record them in the General Journal.
- ❑ Divide learners into small groups and allow them to record the remaining transactions in the General Journal.
- ❑ Mark the exercise and correct each group's work, to clear any misconceptions.
- ❑ Give individualised class exercise/homework.

Let Learners:

- ❑ Work cooperatively in their groups and prepare the General Journal.
- ❑ Present their work to the class.
- ❑ Copy class exercise/homework and answer at their spare time.

CONTENT TIPS

Rules for Recording in the General Journal

- ❍ Identify the two accounts involved.
- ❍ Identify the account to be debit and credit.
- ❍ Record the debit entry first, then the credit entry.
- ❍ Write a brief narration explaining the transaction.

Format of the General Journal

Date	Details	F	Debit		Credit	
			K	N	K	N

- Date: The date of the transaction
- Details: Names of accounts debited and credited, with narration
- Debit: Amount debited
- Credit: Amount credited

LEARNING ACTIVITY 5

Posting Business Transactions from Books of Prime Entry (General Journal) to the Ledger

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Posting Business Transactions from Books of Prime Entry (General Journal) to the Ledger

Teacher's Role:

- Write a few transactions for the General Journal on the board as shown below:

  Thandiwe owns a small business called Thandiwe Business Centre in Monze, Southern Province of Zambia. On 1 January 2026, she decided to improve the way she keeps her business records by using the General Journal to record transactions correctly before posting them to the ledger. She wants her business records to be clear, organised and easy to understand so that she can manage her business better. However, she is confused about how to record opening balances, credit purchases of assets and credit sales of assets using the correct rules of the General Journal.

  As at 1 January 2026, the business had the following opening balances: Cash of K4,250.50, Bank balance of K9,800.75, Furniture valued at K6,500.00, and a Motor Bike worth K18,600.00. The business also owed Trade payables (Creditors) amounting to K5,400.25 and had a Loan from the bank of K7,200.00. The Capital was the balancing figure.

  3 Jan – Bought a photocopier on credit from Kunda Tech for K4,800.40

  5 Jan – Bought office shelves on credit from Muku Suppliers for K2,350.60

  9 Jan – Sold old furniture on credit to Luseke Stores for K1,250.30

  12 Jan – Bought a plot of land on credit from Green Valley Farms for K22,000.00

16 Jan – Sold a used motor bike on credit to Kawimbe Traders for K6,900.50

20 Jan – Bought a laptop on credit from Smart Solutions for K3,600.75

Required

a) Prepare the General Journal to record the opening balances and the transactions.

b) Post the entries to the Ledger Accounts.

SOLUTION

Thandiwe's

General Journal

Date	**Details**	**F**	**Dr**		**Cr**	
2026			**K**	**N**	**K**	**N**
Jan 1	Cash		4,250	50		
	Bank		9,800	75		
	Furniture		6,500	00		
	Motor Bike		18,600	00		
	Trade Payables				5,400	25
	Loan				7,200	00
	Capital				26,551	00
			39,151	**25**	**39,151**	**25**
	(Being opening balances as at 1 January 2026)					
Jan 3	Photocopier		4,800	40		
	Kunda Tech				4,800	40
	(Being a Photocopier bought on credit)					
Jan 5	Office Shelves		2,350	60		
	Muku Suppliers				2,350	60
	(Being purchase of Office Shelves on credit)					
Jan 9	Luseke Stores		1,250	30		
	Furniture				1,250	30
	(Being Furniture sold on credit)					
Jan 12	Land		22,000	00		
	Green Valley Farms				22,000	00
	(Being Land bought on credit					
Jan 16	Kawimbe Traders		6,900	50		
	Motor Bike				6,900	50
	(Being Motor Bike sold on credit)					
Jan 20	Laptop		3,600	75		
	Smart Solutions				3,600	75
	(Being a Laptop bought on credit)					

Thandiwe's

General Ledger

Cash Account

Date	Details	F	Dr		Cr	
2026			K	N	K	N
Jan 1	Balance	b/f	4,250	50		
31	Balance	c/d			4,250	50
			4,250	**50**	**4,250**	**50**
Feb 1	Balance	b/d	4,250	50		

Bank Account

Date	Details	F	Dr		Cr	
2026			K	N	K	N
Jan 1	Balance	b/f	9,800	75		
31	Balance	c/d			9,800	75
			9,800	**75**	**9,800**	**75**
Feb 1	Balance	b/d	9,800	75		

Furniture Account

Date	Details	F	Dr		Cr	
2026			K	N	K	N
Jan 1	Balance	b/f	6,500	00		
9	Luseke Stores				1,250	30
31	Balance	c/d			5,249	70
			6,500	**00**	**6,500**	**00**
Feb 1	Balance	b/d	5,249	70		

Motor Bike Account

Date	Details	F	Dr		Cr	
2026			K	N	K	N
Jan 1	Balance	b/f	18,600	00		
9	Kawimbe Traders				6,900	50
31	Balance	c/d			11,699	50
			18,600	**00**	**18,600**	**00**
Feb 1	Balance	b/d	11,699	50		

Loan Account

Date	Details	F	Dr		Cr	
2026			K	N	K	N
Jan 1	Balance	b/f			7,200	00

31	Balance	c/d	7,200	00		
			7,200	**00**	**7,200**	**00**
Feb 1	Balance	b/d			7,200	00

Photocopier Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 3	Kunda Tech	b/f	4,800	40		
31	Balance	c/d			4,800	40
			4,800	**40**	**4,800**	**40**
Feb 1	Balance	b/d	4,800	40		

Office Shelves Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 5	Muku Suppliers	b/f	2,350	60		
31	Balance	c/d			2,350	60
			2,350	**60**	**2,350**	**60**
Feb 1	Balance	b/d	2,350	60		

Land Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 12	Green Valley Farms	b/f	22,000	00		
31	Balance	c/d			22,000	00
			22,000	**00**	**22,000**	**00**
Feb 1	Balance	b/d	22,000	00		

Laptop Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 20	Smart Collections	b/f	3,600	75		
31	Balance	c/d			3,600	75
			3,600	**75**	**3,600**	**75**
Feb 1	Balance	b/d	3,600	75		

Thandiwe's

Private Ledger

Capital Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 1	Balance	b/f			26,551	00
31	Balance	c/d	26,551	00		
			26,551	**00**	**26,551**	**00**
Feb 1	Balance	b/d			26,551	00

Thandiwe's

Payables Ledger

Trade Payables Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 1	Balance	b/f			5,400	25
3	Kunda Tech				4,800	40
5	Muku Suppliers				2,350	60
12	Green Valley Farms				22,000	00
20	Smart Solutions				3,600	75
31	Balance	c/d	38,152	00		
			38,152	**00**	**38,152**	**00**
Feb 1	Balance	b/d			38,152	00

Thandiwe's

Trade Receivable Ledger

Trade Receivable Account

Date	Details	F	Dr		Cr	
2026			**K**	**N**	**K**	**N**
Jan 9	Luseke Stores	b/f	1,250	30		
16	Kawimbe Traders		6,900	50		
31	Balance	c/d			8,150	80
			8,150	**80**	**8,150**	**80**
Feb 1	Balance	b/d	8,150	80		

- ❑ Pick the accounts for the first transaction and the second one to demonstrate on how to record them in the Ledger.
- ❑ Allow learners working in pairs to record the remaining transactions in the Ledger.
- ❑ Mark the learners' work done in pairs and clear any misconceptions.
- ❑ Give individualised class exercise/homework.

Let learners:

- ❑ Work in pairs and prepare the General Journal, Accounts Payables Ledger and Accounts Receivable Ledger from the example given.
- ❑ Present the work done in pairs.
- ❑ Copy exercise/homework and continue hands on during free time at school/home.

CONTENT TIPS

Purpose of Posting

Posting is done to:

- ❍ Group similar transactions in one account.
- ❍ Find the balance of each account.
- ❍ Prepare a Trial Balance easily.
- ❍ Help the business know how much it owns or owes.

Rules for Posting from the General Journal

When posting, follow these steps:

Step 1: Identify the accounts debited and credited in the General Journal.
Step 2: Post the debit entry to the debit side of the correct ledger account.
Step 3: Post the credit entry to the credit side of the correct ledger account.
Step 4: Write the name of the corresponding account in the details column.

LEARNING ACTIVITY 6

Extracting the Trial Balance from the Ledger – General Journal

Methodology

Suggested Methodology (Collaboration, Discussion and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology: Collaboration – Learners work in pairs

Learning Environment: Classroom

Teacher's Role:

- ❑ From the Ledger Accounts in the **Learning Activity 5 above**.
- ❑ Working in pairs, allow learners to extract the Trial Balance.
- ❑ Mark the learners' presentations and clear any misconceptions.
- ❑ Give learners individualised class exercise/homework.

Thandiwe's

Trial Balance as at 31 January 2026

Details	Dr		Cr	
	K	N	K	N
Cash	4,250	50		
Bank	9,800	75		
Furniture	5,249	70		
Motor Bike	11,699	50		
Loan			7,200	00
Photocopier	4,800	40		
Office Shelves	2,350	60		
Land	22,000	00		
Laptop	3,600	75		
Capital			26,551	00
Trade Payables			38,152	00
Trade Receivable	8,150	80		
	71,903	**00**	**71,903**	**00**

Let learners:

- ☐ continue working in pairs and extract the Trial Balance
- ☐ make their presentations
- ☐ copy exercise/homework and continue hands on during free time at school/home.

CONTENT TIPS

Steps in Extracting a Trial Balance

Follow these steps carefully:

Step 1: Post all transactions from the General Journal to the Ledger.

Step 2: Balance each ledger account (find the difference between debit and credit).

Step 3: Bring down the balances (b/d).

Step 4: List all debit balances in the debit column of the Trial Balance.

Step 5: List all credit balances in the credit column.

Step 6: Add both columns and check if totals are equal.

Expected Standard

- Business Transactions recorded in the Books of Prime Entry (General Journal) correctly
- Business Transactions posted to the Ledger correctly.

ASSESSMENT

- ☐ Assess whether learners are able to identify correct transactions to be recorded in the General Journal.
- ☐ Assess learners' ability to explain the importance of the General Journal.
- ☐ Assess whether learners are able to identify correct source document for the General Journal.
- ☐ Assess learner's ability to correctly prepare the General and post to the Ledger and extract a Trial Balance correctly.

PROPOSED TASKS

LEARNING ACTIVITIES

1. ***Identifying Books of Prime Entry – General Journal***
2. ***Explaining Books of Prime Entry – General Journal***

Task

Mukolota has started a small stationery shop in her community. To keep proper records of her business, she uses different books of prime entry to record transactions. Most of her daily cash transactions are recorded in the cash book, and purchases of goods for resale are recorded in the purchases book. However, Mukolota notices that some transactions, such as correcting errors in the accounts or buying business assets on credit, do not fit in these books. She is therefore unsure which book she should use to record such special transactions so that her records remain clear and accurate.

Questions

i. Which book should Mukolota use to record the special transactions that do not fit in the cash book or purchases book?

ii. From the scenario, state **two types of transactions** that can be recorded in this book.

LEARNING ACTIVITY 3

Stating the source documents for each book of prime entry – General Journal

Task

At Laura Girls Secondary School, a teacher is teaching learners about how businesses record transactions properly. The teacher explains that before any transaction is recorded in the General Journal, there must be a document that shows proof that the transaction really happened. To help learners understand this, the teacher brings examples of documents that small businesses use when receiving or paying money and when the owner adds money to the business. The learners are asked to study the documents carefully and identify which ones can be used as evidence before recording transactions.

Questions

i. From the documents brought by the teacher, state **three source documents** that can be used as evidence before recording transactions in the General Journal.

ii. From the examples shown by the teacher, **which source document is used when the owner introduces cash into the business?**

LEARNING ACTIVITIES

1. ***Recording Business Transactions in the Books of Prime Entry – General Journal***
2. ***Posting Business Transactions from Book of prime entry to the Ledger – General Journal***
3. ***Extracting the Trial Balance from the Ledger – General Journal***

Task

Kabwe owns a small business called **Kabwe Electronics** in Isoka, where he sells and repairs electronic items. He wants to keep proper and honest business records so that he can manage his money well. At the beginning of the accounting period, the business had cash of **K2,800.00**, a bank balance of **K6,400.00**, furniture valued at **K4,000.00**, and a motor bike worth **K9,000.00**. The business also owed **creditors K3,200.00** and had a **loan of K4,500.00**. During the month, other business transactions also took place.

However, Kabwe is unsure how the opening balances and the other transactions shown below should be recorded correctly before posting them to the ledger and extracting a **Trial Balance**. He therefore asks learners to help organise the information properly and answer the questions that follow.

4 Jan – Bought printer on credit from Office Mart K2,200.00

7 Jan – Bought land on credit from Zambezi Estates K10,000.00

12 Jan – Sold motor bike on credit to Lufeyo Traders K5,000.00

16 Jan – Bought shelves on credit from Bright Ltd K1,800.00

20 Jan – Sold furniture on credit to Mwenya Stores K900.00

28 Jan – Bought laptop on credit from Smart Tech K3,500.00

You are required to:

i. Prepare the General Journal

ii. Post to the Ledger

iii. Extract a Trial Balance

SUMMARY

Ensure learners are able to:

- Identify the General Journal.
- Explain the General Journal.
- State the source documents for the General Journal.
- Record Business Transactions in the General Journal.
- Post Business Transactions from the General Journal to the Ledger.
- Extract the Trial Balance from the Ledger.

2.2 TOPIC: TRIAL BALANCE

Introduction

Trial balance is a list of balances extracted from the ledger books.

The topic looks at drawing up of a Trial Balance from a list of balances. It requires knowledge of different types of Accounts and knowing the kind of balances they have.

A **Trial Balance** is essentially a checkpoint in accounting: it lists all ledger balances to ensure that debits equal credits. In real life, it is crucial because it helps businesses maintain accurate records, detect errors early, and prepare reliable financial statements.

General Competences

- Analytical Thinking

- Communication
- Critical Thinking
- Entrepreneurship
- Financial Education
- Problem Solving

2.2.1 Sub-Topic: Extracting the Trial Balance

Introduction

After recording transactions in the books of account and posting them to the ledger, the next step is **extracting the trial balance.**

A **Trial Balance** is essentially a checkpoint in accounting: it lists all ledger balances to ensure that debits equal credits.

This sub-topic explains how to extract a Trial Balance from the Ledger Accounts after transactions have been recorded and posted. It will also explain the preparation of a trial balance from a list of balances given.

Extracting a Trial Balance helps businesses to check the **accuracy of ledger postings** and to ensure that the double entry principle has been followed. It also provides the balances that will be used to prepare the **Financial Statements**.

Specific Competence

- ❑ Prepare the Trial Balance

KEY TERM

- ❑ **Extracting** – taking the closing balances from ledger accounts and listing them in the Trial Balance

LEARNING ACTIVITIES

- Explaining Trial Balance
- Outlining the purpose of the Trial Balance
- Extracting the Trial Balance from ledger account balances
- Preparing the Trial Balance from a List of balances

SUGGESTED TEACHING MATERIALS FOR THE TRIAL BALANCE

- ❑ **Sample Trial Balance** – helps learners see the format and how Trial Balance entries are written.
- ❑ **Textbooks or accounting notes** – give explanations and examples of Trial Balance.

- **Calculators** – help learners check and calculate amounts correctly.
- **Charts or posters** – show the format and rules for recording in the Trial Balance.
- **Case studies or real-life scenarios** – help learners understand how businesses record transactions.
- **Computers or spreadsheets (optional)** – show that Trial Balance entries can also be prepared electronically.

Note: The list is not exhaustive Teacher can use these or any other materials found in his area.

Note: The under listed learning activities are interrelated and may be taught at the same time

LEARNING ACTIVITIES

1. **Explaining Trial Balance**
2. **Outlining the purpose of the Trial Balance**

Methodology

Suggested Methodology (Discussions, Think-Pair-Share, and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology

Methodology: Collaboration – Group Work

Learning Environment: Classroom

Teachers Role:

Hook

"Imagine running a business without ever checking if your books actually balance—like sailing a ship without a compass. The trial balance is that compass: a snapshot that ensures every debit has its credit, guiding accountants toward accuracy before the financial journey continues."

- Put learners in groups and give them the case study below

  Baobab Enterprises, a medium-sized agricultural company, has just completed its financial postings for the month of March. The accountant extracts a trial balance and notices that the debit column totals K250,000.00 while the credit column totals K245,000.00

  Upon review, it is discovered that a loan repayment was posted only to the cash account (debit) but not to the loan liability account (credit).

- Allow the groups to discuss the following questions and answer them
  - i. Explain what a trial balance is and outline the steps involved in extracting it.
  - ii. Discuss the importance of preparing a trial balance in the accounting cycle.
- Move around checking group work
- Let learners make presentations
- Correct learners work
- Give home work

Let Learners:

- Work in groups and answer the case study questions
- Make presentations
- Make corrections if any
- Copy homework

CONTENT TIPS

A Trial Balance is a statement that lists all the balances from the ledger accounts at a given time. It shows these balances in two columns, debit and credit, to check that the total debits are equal to the total credits.

Purpose of a Trial Balance

A Trial Balance is prepared to check that the accounting records are correct. It helps to confirm that total debits are equal to total credits, which shows that the double entry system has been followed.

It is also used to help find simple errors, such as wrong totals, missing entries or figures written incorrectly.

In addition, the Trial Balance is used as a starting point for preparing Financial Statements, such as the Income Statement and the Statement of Financial Position.

LEARNING ACTIVITY 3

Extracting the Trial Balance from the Ledger Account balances

Methodology

Suggested Methodology (Discussions, Think-Pair-Share, and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology

Methodology: Think-Pair-Share

Learning Environment: Classroom

Teachers Role:

- Pair learners and give them the Ledger Accounts below:

BANK ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 1	Owners investment		20,000	00		
June 3	Purchase Equipment				5,000	00
June 5	Cleaning Supplies				800	00
June 10	Service Revenue		3,000	00		
June 15	Rent				1,200	00
June 18	Accounts Receivable		500	00		
June 20	Wages				1,800	00
June 28	Miscellaneous				300	00
June 30	Drawings				600	00
June 31	Accounts Payable				200	00
June 30	Balance	c/d			13,600	00
			23,500	**00**	**23,500**	**00**
July 1	Balance	b/d	13,600	00		

ACCOUNTS RECEIVABLE ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 12	Rentals		1,500	00		
June 18	Cash				500	00
June 30	Balance	c/d			1,000	00
			1,500	**00**	**1,500**	**00**
July 1	Balance	b/d	1,000	00		

CLEANING EQUIPMENT ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 3	Bank		5,000	00		
June 30	Balance	c/d			5,000	00
			5,000	**00**	**5,000**	**00**
July 1	Balance	b/d	5,000	00		

CLEANING SUPPLIES ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 5	Bank		800	00		
June 25	Credit Purchases		400	00		
June 30	Balance	c/d			1,200	00
			1,200	**00**	**1,200**	**00**
July 1	Balance	b/d	1,200	00		

CAPITAL ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 1	Owners investment				20,000	00
June 30	Balance	c/d	20,000	00		
			20,000	**00**	**20,000**	**00**
July 1	Balance	b/d			20,000	00

DRAWINGS ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 30	Owner withdrew		600	00		
June 30	Balance	c/d			600	00
			600	**00**	**600**	**00**
July 1	Balance	b/d	600	00		

SERVICE REVENUE ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 10	Cash		3,000	00		
June 12	Credit		1,500	00		
June 30	Balance	c/d			4,500	00
			4,500	**00**	**4,500**	**00**
July 1	Balance	b/d	4,500	00		

RENT ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 15	Bank		1,200	00		
June 30	Balance	c/d			1,200	00
			1,200	**00**	**1,200**	**00**
July 1	Balance	b/d	1,200	00		

WAGES ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 20	Bank		1,800	00		
June 30	Balance	c/d			1,800	00
			1,800	**00**	**1,800**	**00**
July 1	Balance	b/d	1,800	00		

MISCELLANEOUS EXPENSE ACCOUNT

Date	Details	F	Dr		Cr	
			K	N	K	N
June 28	Bank		300	00		
June 30	Balance	c/d			300	00
			300	**00**	**300**	**00**
July 1	Balance	b/d	300	00		

- ❑ Pick 4 ledger accounts and demonstrate how to extract a Trial Balance

Blue Sky Enterprises

Trial Balance as at 30th June, 2025

Details	**Dr**		**Cr**	
	K	**N**	**K**	**N**
Bank Account	13,600	00		
Accounts Receivable	1,000	00		
Cleaning Equipment Account	5,000	00		
Cleaning Supplies Account	1,200	00		
Accounts Payable			200	00
Capital Account			20,000	00
Drawings Account	600	00		
Service Revenue Account			4,500	00
Rent Account	1,200	00		
Wages Account	1,800	00		
Miscellaneous Expense Account	300	00		
	24,700	**00**	**24,700**	**00**

- Let the learners extract the other entries in pairs.
- Move around checking pair work
- Let learners present their work for marking
- Correct learners work
- Give class exercise and home work

Let Learners:

- Work in pairs and extract a Trial Balance from the remaining Ledger Accounts
- Submit books for marking
- Make corrections if any
- Copy class exercise and homework

CONTENT TIPS

Extracting a Trial Balance simply means taking the final balances from all the ledger accounts and listing them in one statement. The General Ledger is the main source, and the balances are arranged in two columns: debit on the left and credit on the right.

To extract a Trial Balance, first make sure all transactions have been posted to the ledger accounts. Then find the closing balance of each account. If the debit side is greater, the account has a debit balance; if the credit side is greater, it has a credit balance. After that, write the name of each account and place its balance in the correct column. Finally, add up both columns to check that the totals are equal.

When extracting, remember that assets, expenses and drawings normally have debit balances, while liabilities, capital and income normally have credit balances. This helps you place each balance correctly.

It is also important to note that you are not changing any figures when extracting a Trial Balance. You are simply transferring the balances from the ledger into a summary list to check accuracy.

LEARNING ACTIVITY 4

Preparing the Trial Balance from a list of balances

Methodology

Suggested Methodology (Discussions, Think-Pair-Share, and Inquiry)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purposes relate to the example below:

Methodology

Methodology: Think-Pair-Share

Learning Environment: Classroom

Teacher's Role

- ❑ On a chart, draw a table as shown in Table below, showing terms: Assets, Liabilities, Expenses, Capital (Equity), and Revenue/Income.
- ❑ Display the chart in class.
- ❑ Give learners the following scenario and let them answer the questions that follows:

  ABC General Dealers is a local Retail outlet, which has been running as a family business serving all the needs of the community. As at 30th November, 2025, the business had the following:

  - o Shop building
  - o Capital
  - o Salaries
  - o Motor van
  - o Purchases
  - o Rent
  - o Equipment
  - o Loan from ABC Bank
  - o Accounts Payable
  - o Accounts Receivable

- o Cash
- o sales

With the aid of the chart displayed above:

a) Identify the classification of each of the above.
b) Identify its balance in a Trial Balance

- ❑ Go round checking learners' work
- ❑ Clear any misconceptions after the learners have done their presentations.
- ❑ Give learners class exercises and homework

Let Learners:

- ❑ Discuss the two questions as a pair
- ❑ Make presentations
- ❑ Make corrections where necessary
- ❑ Copy and answer the class exercises and home work

CONTENT TIPS

1. Preparing a Trial Balance from a list of balances means sorting account balances into two columns: debit and credit. The main aim is to place each account in the correct column and then check that both sides are equal.

To do this, first prepare a simple table with three parts: the account name, debit column and credit column. Then go through each balance one by one and decide where it belongs. Assets, expenses and drawings are usually placed in the debit column, while liabilities, capital and income are usually placed in the credit column.

After classifying all the balances, write each amount in its correct column and add up both sides. If the total debit is equal to the total credit, the Trial Balance is correct. If the totals do not agree, check whether an account was placed in the wrong column, a figure was written wrongly, or the addition was incorrect.

Expected Standard

- ➢ Trial Balance prepared correctly

ASSESSMENT

- ❑ Assess whether learners are able to identify correctly different Types of Accounts.
- ❑ Assess learner's ability to identify the correct balance for each Account type.
- ❑ Assess learner's ability to prepare a Trial Balance correctly.

PROPOSED TASKS

LEARNING ACTIVITIES

1. ***Explaining Trial Balance***
2. ***Outlining the purpose of the Trial Balance***

   Banda runs a small tuck shop near a school in Lusaka where he sells items such as sweets, biscuits and drinks. At the end of March, he prepared a list of balances from his ledger to make a Trial Balance. However, when he added the totals, the debit side was K17,400.00 while the credit side was K21,800.00. Banda is now confused because the totals do not agree, and he does not understand the purpose of the Trial Balance or what it is supposed to show.

   Task:

   Explain, in simple terms, what a Trial Balance is and its main purpose, so that Banda can understand why his totals are not equal.

LEARNING ACTIVITY 3

Extracting the Trial Balance from ledger account balances

Amanda who runs a small business selling football boots, recorded all her cash transactions in a Single Column Cash Book and posted them to the ledger accounts during the month May 2025. At the end of the month, she wants to check that her books are balanced before preparing financial statements.

The ledger accounts contain the following balances (all in K):

Ledger Account	Balance
Cash	6,980.00 Dr
Motor Van	5,500.00 Dr
Motor Expenses	150.00 Dr
Wages	180.00 Dr
Insurance	220.00 Dr
Electricity	170.00 Dr
Capital	2,000.00 Cr
Loan from ZANACO	10,000.00 Cr
Cash Sales	1,050.00 Cr
Commission Income	150.00 Cr

Required:

Prepare the Trial Balance for Amanda's business as at 30 May 2026 and verify that the total debits are equal to the total credits.

LEARNING ACTIVITY 5

Preparing the Trial Balance from a List of balances

Nash Engineering Company, a construction company for low-cost houses, has not been preparing Financial Statements. The company management has decided to engage your services as an Accountant, to prepare financial statements, to begin with they request you to prepare a Trial Balance from the following balances.

	K
Premises	24,000.00
fixtures and fittings	4,000.00
Motor vehicle	5,000.00
Bank	3,305.00
Inventory	5,750.00
Accounts Receivable	20,500.00
Accounts Payable	24,220.00
Loan	15,500.00
Capital	18,000.00
Sales	21,274.00
Commission received	485.00
Discount	557.00
Salaries	2,864.00
Light and heat	122.00
Petty cash expenses	44.00
General expenses	268.00
Purchases	14,090.00
Returns outward	484.00
Returns inward	577.00

SUMMARY

Ensure Learners are able to:

- ❑ Explain the Trial Balance
- ❑ Outline the purpose of the Trial Balance
- ❑ Extract the Trial Balance from the Ledger Accounts balances
- ❑ Prepare the Trial Balance from a list of balances

2.3 TOPIC: CAPITAL AND REVENUE RECEIPTS AND EXPENDITURE

Introduction

In business, money can be spent or received in different categories, and it is important to distinguish between capital and revenue items. Capital Expenditure is money spent on buying or improving long-term assets used in the business, while Revenue Expenditure is money spent on the day-to-day running of the business. Capital Receipts are amounts of money received from capital sources such as loans or selling assets, whereas Revenue Receipts are amounts of money received from normal business activities like sales.

In this topic, learners will study the explanation and identification of capital and revenue receipts and expenditure. It also covers the distinction between capital and revenue receipts and expenditure and the categorisation of business transactions into capital and revenue items.

Understanding these concepts helps businesses record transactions correctly, prepare reliable financial statements, and determine the true profit or loss for a given accounting period. Proper classification also supports better financial decision-making and promotes transparency in financial reporting.

General Competences

- ❑ Critical Thinking
- ❑ Problem Solving
- ❑ Communication
- ❑ Financial Education
- ❑ Entrepreneurship
- ❑ Citizenship
- ❑ Digital Literacy.

SUGGESTED TEACHING MATERIALS FOR CAPITAL AND REVENUE RECEIPTS AND EXPENDITURE

- ❑ **Principles of Accounts textbook and syllabus** – Provide definitions, features, and examples of capital and revenue transactions.

- ❑ **Chalkboard/whiteboard and markers or chalk** – Write and compare examples of capital and revenue receipts and expenditure.
- ❑ **Charts or posters** – Show visual differences between capital and revenue items.
- ❑ **Printed notes or handouts** – Give summarized explanations and examples for revision.
- ❑ **Worksheets/activity sheets** – Practice classifying transactions into capital and revenue categories.
- ❑ **Case studies or scenario cards** – Analyse real business situations and classify transactions.
- ❑ **Flashcards** – Sort examples into capital receipts, revenue receipts, capital expenditure, or revenue expenditure.
- ❑ **Calculator** – Calculate totals when analysing business transactions.
- ❑ **Computer or projector** – Display tables and examples comparing capital and revenue items.
- ❑ **Real-life business examples or pictures** – Identify assets and daily expenses in businesses.
- ❑ **Digital learning tools (PowerPoint, video, LMS)** – Present and practice classification of capital and revenue transactions interactively.
- ❑ Real pictures of various assets

Note: The materials listed are only suggestions. You may select and use other teaching and learning resources that are appropriate for your learning environment.

2.3.1 Sub-Topic: Capital and Revenue Receipts and Expenditure

Introduction

Businesses oversee various financial transactions, so it is important to identify whether they relate to capital or revenue activities Capital items relate to long-term financing and investment in assets, while revenue items relate to the day-to-day operations of the business.

This sub-topic focuses on the identification, distinction, and categorisation of capital and revenue receipts and expenditure in business transactions.

Understanding these concepts helps learners record transactions accurately, determine the correct profit or loss, and support transparency in financial reporting.

Specific Competence

- ❑ Classify capital and revenue receipts and expenditure

KEY TERMS

- ❑ **Capital Receipts** – Money received by a business from **non-regular sources,** such as owner’s investment, loans, or the sale of non-current (fixed)assets.
- ❑ **Capital Expenditure** – Money spent on **purchasing or improving non-current (fixed) assets** used for a long period.
- ❑ **Revenue Receipts** – Money earned from the business’s **normal day-to-day activities.**
- ❑ **Revenue Expenditure** – Money spent on the **daily running of the business,** such as wages, rent, transport, or electricity.

LEARNING ACTIVITIES

- Explaining Capital and Revenue Receipts and Expenditure
- Identifying Capital and Revenue Receipts and Expenditure items
- Distinguishing between Capital and Revenue Expenditure
- Distinguishing between Capital and Revenue Receipts
- Categorising Capital and Revenue Receipts and Expenditure

Note: The underlisted learning activities are interrelated and may be taught using the same methodology

LEARNING ACTIVITIES

1. **Explaining Capital and Revenue Receipts and Expenditure**
2. **Identifying Capital and revenue Receipts and Expenditure items**

Suggested Methodology (Collaboration, Inquiry Based Learning, Group discussion)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purpose relate to the example below:

Methodology

Methodology: Collaboration - Group Work

Learning Environment: Classroom

Teacher's Role:

Hook:

"Imagine you run a small business in a rural area selling solar lamps and eco-friendly stoves to help households cope with climate change. You receive a government grant and occasionally sell old equipment, while regularly spending on transport, packaging, and small repairs. Which funds and expenses support your business long-term, and which cover daily operations?"

Prompt learners with a question:

- How can we group the different receipts and expenses in the scenario into those that support the long-term development of the business and those used for everyday operations?

  After learners' response, you can provide the following information:

  In accounting, businesses classify money received and money spent depending on whether it supports long-term investment or day-to-day operations. These are known as capital receipts and capital expenditure, and revenue receipts and revenue expenditure. These accounting terms will be covered in depth below,

- ❑ Divide learners in small groups
- ❑ Present the learners with the scenario below with reference materials A youth community club in Mongu recently organised a small fundraising event to improve its facilities. During the year, the club received money from members' subscriptions, donations for building a new hall, and sales from refreshments during meetings. The club also spent money on buying chairs for the hall, paying electricity bills, repairing sports equipment, and printing membership cards.

The club committee wants to prepare proper records, but some members are confused about which items are capital and which are revenue.

a) Based on the scenario, discuss the meaning of:

   i. Capital receipts and expenditure

   ii. Revenue receipts and expenditure

b) Identify and classify the items in the scenario into:

   - Capital receipts
   - Revenue receipts
   - Capital expenditure
   - Revenue expenditure

- ❑ Groups present their answers to the class and explain why each item belongs to that category.
- ❑ The teacher guides the discussion, corrects mistakes, and summarises the key points .
- ❑ Give individualized homework.

Let learners:

- ❑ Discuss the questions in groups
- ❑ Make presentations from their discussions
- ❑ Copy homework and do it during their spare time.

CONTENT TIPS

Capital receipts are amounts of money received that do not come from the normal activities of the business. They are usually received from long-term sources and are not regular. These receipts may create a liability, such as a loan, or reduce an asset, such as when a vehicle is sold. Examples include capital introduced by the owner, a bank loan, money from selling furniture or a vehicle, and donations for building or buying equipment.

Revenue receipts are amounts of money received from the normal day-to-day activities of the business. They are received regularly and are treated as income for the period. These receipts come from the main operations of the business. Examples include sales of goods, members' subscriptions, commission received and service income.

Capital expenditure is money spent on buying or improving long-term assets in the business. This type of expenditure gives benefits for many accounting periods and is not done regularly. It includes costs of acquiring assets and making them ready for use. Examples include buying land, buildings, vehicles and furniture, building or extending a shop, and installing equipment.

Revenue expenditure is money spent on the daily running of the business. It happens regularly and provides benefits for a short period. This type of expenditure is necessary for carrying out normal business activities. Examples include wages and salaries, electricity and water bills, stationery, repairs, transport expenses and the purchase of goods for resale.

LEARNING ACTIVITY 3

Distinguishing between Capital and Revenue Expenditure

Suggested Methodology (Collaboration, Inquiry Based Learning, Group discussion)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purpose relate to the example below:

Methodology

Methodology: Collaboration – Learner's work in pairs

Learning Environment: Classroom

Teacher's Role:

- Pair the learners
- Present the learners with the scenario and follow up questions below with reference materials

  Chikondi Bicycle Repairs is a small business in a rural town. The business repairs and sells bicycles that people in the community use to travel to work, school, and the market. As the business grows, Chikondi records different expenses in his accounting books. These include buying repair tools, replacing bicycle parts, and paying for small repairs in the workshop.

  However, his friend notices that some of the expenses may not have been recorded in the correct category. He advises Chikondi that it is important to distinguish between capital expenditure and revenue expenditure in order to keep accurate and honest financial records.

Task:

Based on the scenario of Chikondi Bicycle Repairs, distinguish between Capital Expenditure and Revenue Expenditure. In your answer, refer to examples from the scenario to support your explanation.

- ❑ Put learners in pairs
- ❑ The teacher guides the discussion, corrects mistakes, and summaries the key points.
- ❑ Give individualized homework.

Let Learners:

- ❑ Answer the task.
- ❑ Let learners present their work in pairs for marking.
- ❑ Copy homework and do it during their spare time.

CONTENT TIPS

The table below provides a summary of the key differences between capital expenditure and revenue expenditure. It highlights the main features that help in distinguishing between the two types of business expenditures.

Distinction Between Capital and Revenue Expenditure

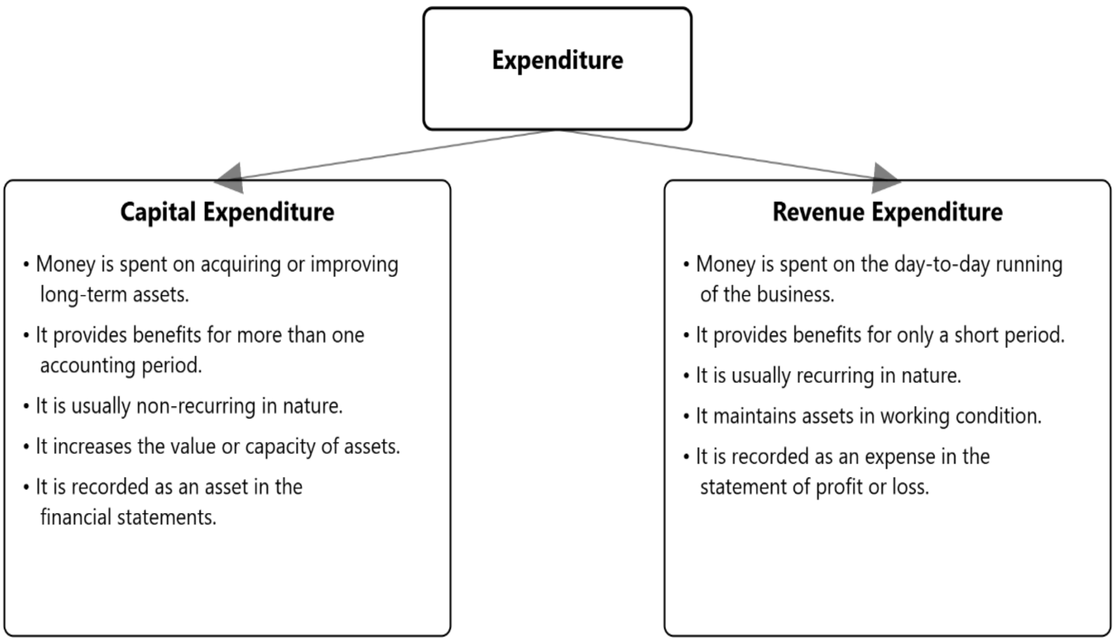


Fig. 2 : **The diagram compares capital expenditure with revenue expenditure.**

LEARNING ACTIVITY 4

Distinguishing between Capital and Revenue Receipts

Methodology

Suggested Methodology (Collaboration, Inquiry Based Learning, Group discussion)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purpose relate to the example below:

Methodology

Methodology: Collaboration - Group Work

Learning Environment: Classroom

Teacher's Role:

- ❑ Divide the learners into groups
- ❑ Present the learners with the scenario and follow up task below with reference materials

Smart Link Gadgets is a small retail business owned by Mwiche, a young entrepreneur who sells phone accessories and small electronic items. To start the business, Mwiche used personal savings and later obtained additional funds from other sources to help expand the shop.

The business receives money from different activities, including the sale of products and other occasional transactions. Mwiche wants to keep proper financial records to manage the business responsibly and make informed financial decisions. However, Mwiche is unsure how to separate capital receipts, which relate to long-term financing of the business, from revenue receipts, which come from the normal operations of the business.

As a learner studying Principles of Accounts, you have been asked to assist Mwiche in analysing the receipts and recording them correctly.

Task:

- o Based on the scenario, distinguish between capital receipts and revenue receipts.
  - ❑ Put learners in groups
  - ❑ The teacher guides the discussion by going round the marking the learner's work.
  - ❑ Clear any misconceptions and summarise the key points.
  - ❑ Give individualized homework.

Let Learners:

- ❑ Answer the question.
- ❑ Let learners present their work in groups.
- ❑ Copy homework and do it during their spare time.

CONTENT TIPS

Below is the diagram that summarises the distinction between capital and revenue receipts:

Distinction Between Capital and Revenue Receipts

Capital Receipts	Revenue Receipts
• Money received from non-recurring sources.	• Money received from recurring sources.
• Includes loans, sale of non-current assets, or issue of shares.	• Includes sales revenue, interest, commission, or rent.
• It affects the balance sheet, not the statement of profit or loss.	• It affects the statement of profit or loss directly.
• It is generally non-operational in nature.	• It is operational in nature.
• It may reduce liabilities or increase capital.	• It does not alter capital structure.

Fig, 3. The table highlights the key differences between capital receipts and revenue receipts.

LEARNING ACTIVITY 5

Categorising Capital and Revenue Receipts and Expenditure

Methodology

Suggested Methodology (Collaboration, Inquiry Based Learning, Group discussion)

Suggested Learning Environment (Natural, Artificial and Technological)

For illustration purpose relate to the example below:

Methodology

Methodology: Quiz– Learner's work in groups

Learning Environment: Classroom

Teacher's Role:

- ❑ Divide the learners in groups
- ❑ write quiz questions on cards or paper from the scenario below:

After experiencing a severe drought, the previous year, Mumba, a small-scale farmer, decided to strengthen the sustainability of his farming business. He obtained a bank loan to drill a borehole and install an irrigation system so that his crops would not depend entirely on rainfall. He also purchased a water pump and additional farming equipment to improve productivity.

During the farming season, Mumba earned money from selling maize and vegetables at the local market. To support production, he spent money on seeds, fertilizers, and wages for farm workers, and also paid for repairs to his old tractor. Later in the year, he sold an old plough that was no longer needed and received a government grant aimed at helping farmers recover from drought and adopt more sustainable farming practices. Mumba wants to maintain proper accounting records by correctly classifying these transactions.

QUIZ QUESTIONS

i. Paying wages to farm workers during the farming season is what type of expenditure?

ii. The money received from selling maize and vegetables should be classified as what type of receipt?

iii. Buying seeds for planting crops during the season is what type of expenditure?

iv. The bank loan obtained to drill the borehole should be classified as what type of receipt?

v. Purchasing a water pump for long-term use on the farm is what type of expenditure?

vi. The sale of the old plough should be classified as what type of receipt?

vii. Repairing the old tractor used on the farm is what type of expenditure?

viii. The government grant received to support farmers affected by drought should be classified as what type of receipt?

ix. Spending money on fertilizers used in the current farming season is what type of expenditure?

x. Give one reason why it is important for Mumba to correctly classify capital and revenue receipts and expenditures in his accounting records.

- ❑ Time the quiz

- ❑ Provide scores for the groups on the board.
- ❑ Clarify misconceptions arising from the quiz.
- ❑ Give individualized homework.

Let Learners:

- ❑ Participate in the quiz.
- ❑ Copy homework and do it during their spare time.

CONTENT TIPS

Categorising Capital and Revenue Receipts and Expenditure

Category	Definition	Examples
Capital Receipts	Non-recurring income that affects assets or liabilities	Sale of non-current assets, loan received, owner's investment
Revenue Receipts	Recurring income from normal business operations	Cash sales, commission received, interest income
Capital Expenditure	Spending on acquiring or improving long-term assets	Purchase of machinery, construction of building
Revenue Expenditure	Day-to-day operating costs to earn revenue	Rent, wages, electricity, repairs

The table categorising capital and revenue receipts and expenditure.

Expected Standard

- ➢ Capital and Revenue Receipts and Expenditure classified correctly.

ASSESSMENT

- ❑ Assess learners' ability to explain the main characteristics of capital and revenue receipts and expenditure concept.
- ❑ Assess learners' ability to recognize or identify transactions that represent capital or revenue receipts and expenditure.
- ❑ Assess whether learners can distinguish between capital and revenue expenditure.
- ❑ Assess learners' ability to distinguish between capital and revenue expenditure.
- ❑ Assess learners' ability to classify transactions correctly into their appropriate categories, capital receipts, revenue receipts, capital expenditure, revenue expenditure.

PROPOSED TASKS

LEARNING ACTIVITIES

1. ***Explaining Capital and Revenue Receipts and Expenditure***
2. ***Identifying Capital and revenue Receipts and Expenditure items***

Task

The following scenario relates to the business of Grace; she runs a small eco-business in her rural community selling solar lamps and energy-saving stoves. She receives money from customers and occasional grants, buys assets for the business, and spends money on transport, packaging, and minor repairs.

She used the government grant to buy a delivery bicycle. In addition, she also sold some old packaging crates for cash. Grace spent money on repairing her old tools and bought a new solar lamp display stand.

You are required to:

i. State whether each of the following transactions is a **capital receipt** or a **revenue receipt,** giving a reason for your answer.
ii. State whether each of the following transactions is **capital expenditure** or **revenue expenditure,** giving a reason for your answer.

LEARNING ACTIVITY 3

Distinguishing between Capital and Revenue Expenditure

Task

Chanda runs a small community ice cream and smoothie stall in a busy township. As she sets up her business, she buys a freezer and a blender to help her store and prepare her products. As the business grows, she spends money every day on items such as milk, sugar, fruits and ice to make ice cream and smoothies for her customers. She also pays for minor repairs and servicing of her freezer and blender to keep them in good working condition. Although Chanda records all her spending, she is not sure how to clearly distinguish between money spent on long-term items and money spent on daily operations.

You are required to:

Using Chanda's scenario, distinguish between **capital expenditure** and **revenue expenditure** by stating two features of each and giving relevant examples from the scenario.

LEARNING ACTIVITY 4

Distinguishing between Capital and Revenue Receipts

Task

Daniel runs a mobile phone repair shop in a small town. To start and support his business, he bought repair tools and a workbench. As part of a youth empowerment initiative, he received a Constituency Development Fund (CDF) loan from the local authority. From time to time, he also sells old or worn-out tools that he no longer uses in the business. In addition, Daniel earns money every day from repairing customers' phones and providing related services. However, he is not sure how to clearly separate the different types of money he receives in his business records.

You are required to:

Using Daniel's scenario, distinguish between **capital receipts** and **revenue receipts** by stating two features of each and giving relevant examples from the scenario.

LEARNING ACTIVITY 5

Categorising Capital and Revenue Receipts and Expenditure

Task

Kalaba is a young entrepreneur who runs a growing poultry business in his community. As his business expands, he obtained a bank loan to increase production and used part of the money to buy new feeding equipment. During the month, he regularly earned income from selling eggs and chickens at the local market. At the same time, he spent money on important daily needs such as chicken feed, vaccines, and wages for his workers. He also paid for repairs to the water system to ensure a steady supply of clean water for the chickens. Later in the month, Kalaba sold an old feeding machine that was no longer useful in the business. Although he records all these transactions, he is not sure how to correctly group them into the right categories for proper accounting.

You are required to:

Using Kalaba's scenario, categorise each transaction as a **capital receipt, revenue receipt, capital expenditure,** or **revenue expenditure,** and give a clear reason for each classification.

SUMMARY

Ensure learners are able to:

- ❑ Explain Capital and Revenue Receipts and Expenditure.
- ❑ Identify Capital and Revenue Receipts and Expenditure items
- ❑ Distinguish between Capital and Revenue Expenditure
- ❑ Distinguish between Capital and Revenue Receipts
- ❑ Categorise Capital and Revenue Receipts and Expenditure

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APPENDIX 1: SAMPLE LESSON PLAN.

SAMPLE LESSON PLAN

SCHOOL: ………………………………………………………………………………

NAME OF TEACHER: ………………………………… **DATE:** 16th May, 2026

CLASS: Form 2E **DURATION:** 40 minutes

TIME: 07:20 – 8:00 Hours **TOTAL NO. OF PUPILS:** 95

SUBJRCT: Principles of Accounts

TOPIC: 2.2 Trial Balance

SUB-TOPIC: 2.2.1 Extracting the Trial Balance

GENERAL COMPETENCES: *Critical Thinking, Problem Solving. Collaboration, Financial Education and Communication.*

SPECIFIC COMPETENCE: Prepare the Trial Balance.

LESSON GOAL: Learners should be able to explain the Trial Balance, state its purpose and prepare it correctly.

RATIONALE: This lesson helps learners check the accuracy of records and organise financial information properly.

PRIOR KNOWLEDGE:

Ledger accounts, debit and credit, balancing accounts.

REFERENCES:

- Form 2 Term 1, Principles of Accounts, Scheme of Work.
- 2024 Commerce and Principles of Accounts Secondary Education Ordinary Level Syllabus - Form 1-4 page 36
- 2026 Principles of Accounts Form 2 Teaching Module Term 1 page….
- Complete Accounts for Cambridge Ordinary Level and IGCSE
- Business Accounting Volume 1

LEARNIG ENVIRONMENT

Natural Environment: Classroom

Technological Environment: Calculator or projector (if available).

TEACHING AND LEARNING MATERIALS/RESOURCES

- Chalkboard/Whiteboard – for illustrating the Ledger sheet
- Charts/Posters – showing the structure of a Single Column Cash Book
- Textbooks – for reference and guided learning
- Exercise books – for practice and recording work

- Prepared examples/scenarios – to aid understanding
- Markers/Chalk – for writing and demonstration

EXPECTED STANDARD: Trial Balance prepared correctly

LESSON PROGRESSION:

STAGES	TEACHER'S ACTIVITIES	LEARNERS' ACTIVITIES	ASSESSMENT CRITERIA
INTRODUCTION **5 Minutes**	• Greet learners • Ask questions and introduce Trial Balance.	• Respond to greeting • Respond and share ideas.	Learners show understanding.
LESSON DEVELOPMENT **(15 minutes)**	**Learning Activity 1: Explaining Trial Balance** **Learning Activity 2: Outlining the purpose of the Trial Balance** Group Work: • Put leaners in pairs • Present them with some reference materials • Writes the following questions on the board for learner discussion in groups: o What is the Trial Balance? o Outline the purpose of the Trial Balance • Guides discussion and clear any misconceptions	• Working in groups o Explain what the Trial Balance is o Outline the Purpose of the Trial Balance • Share answers with the class	• Observe learner's participation and responses
EXERCISE/ ASSESMENT **(10 minutes)**	• Give individual class exercise from reference materials based on the 2 learning activity above • Give feedback by marking learners' exercise books promptly.	Copy and answer the given exercises	Assess individual learners' ability in: • Explaining the Trial Balance and the purpose of the Trial Balance.

HOME-WORK **(5 minutes)**	Write the following task as homework: *Chibunge runs a small grocery shop in Kafulafuta. At the end of the month, she prepared her accounts and listed all the balances from the ledger to check if her records were correct. However, the totals on the debit side and credit side did not agree. Chibunge is confused and does not understand why she prepared the Trial Balance or what it is used for.* ***Questions:*** 1. *Explain to Chipo what a Trial Balance is and why it is prepared.* 2. *Outline* ***two purposes*** *of the Trial Balance and explain how they can help Chipo identify the problem in her accounts.*	Copy and answer the given Homework in their spare time	Assess learners on their understanding of the trial balance, ability to explain its purpose, solve the problem in the scenario, and communicate their answers clearly and correctly.
CONCLU-SION **(5 minutes)**	Summarise the lesson by highlighting the key components of the lesson as follows: • Meaning of Trial Balance • Purpose of the Trial Balance	Answer questions	Observations and clear any miconceptions

LESSON EVALUATION:

- **Successes of the lesson** – 74% of the learners were able to explain and outline the purpose of the Trial Balance correctly.
- **Challenges of the lesson** – 26% of learners had challenges in explaining and outlining the purpose of the Trial Balance.
- **Follow up Action** – Give remedial work to the learners with challenges and keep a record for tracking their break through.